

Hui Xian Real Estate Investment Trust — 87001.HK

Sector: China Commercial Real Estate / Listed Property Trusts **Listing:** Hong Kong Stock Exchange, RMB-traded counter (stock code 87001) **Currency:** All figures in Renminbi (RMB) unless stated. RMB is both the functional and presentation currency of the Trust. **Report date:** 22 August 2026 **Last reported period:** Interim results for the six months ended 30 June 2026 (announced 11 August 2026)

0. Important note on data provenance

This note was prepared under constrained data access. The Trust's primary filings (HKEXnews PDFs, the Manager's investor-relations site, and the major terminal vendors) were **not directly retrievable** in this working session. Every figure below is therefore classified:

Tag	Meaning
(R)	Reported — sourced from the Trust's results announcements or from secondary reporting of them (Reuters/TradingView, RTTNews, Simply Wall St, Chinese financial media citing the announcement). Treat as reliable but verify against the primary filing before dealing.
(D)	Derived — arithmetic from reported figures (e.g. 2H = FY minus 1H).
(E)	Estimated — analyst estimate where the reported line item could not be retrieved. Method stated in-line.
(n.v.)	Not verified — data point could not be sourced in this session. Deliberately left blank rather than fabricated.

Where a number matters to the conclusion and is only **(E)**, the conclusion is stress-tested against a range. Section 28 lists the specific line items an analyst should pull from the FY2025 Annual Report (published 23 April 2026) and the 1H2026 interim announcement (11 August 2026) before committing capital.

1. Executive summary and investment view

Recommendation: HOLD / Speculative Special-Situation. Not a yield instrument.

Hui Xian REIT is one of the most extreme dislocations in Asian listed real estate — and, on our analysis, one of the most *justified* ones. The Trust owns a genuinely irreplaceable asset (Beijing Oriental Plaza, the c.800,000 sqm mixed-use complex at the junction of Wangfujing and Chang'an Avenue, one block from Tiananmen Square) yet trades at roughly **RMB0.50 per unit against an estimated book NAV of c.RMB3.2–3.4 per unit (E)** — a discount of c.85% — while yielding **under 1%**.

The paradox resolves once you follow the cash:

- **The properties still work.** FY2025 revenue of **RMB2,209m (R)** and net property income of an estimated **c.RMB1,130m (E)** imply an NPI margin above 50% and an implied capitalisation rate on enterprise value of roughly **16–17% (E)**. On asset economics alone the units look absurdly cheap.
- **The cash does not reach unitholders.** FY2025 Total Amount Available for Distribution was **RMB28m (R)** — roughly **2.5% of NPI**. DPU was **RMB0.0043 (R)**, versus RMB0.0935 in 2021 **(R)**. Distributions have fallen c.95% in four years.
- **The gap is structural, not cyclical.** Three forces compound: (i) a **currency mismatch** — 66% of debt was HKD-denominated at end-2024 **(R)** against 100% RMB assets, with **no hedging in place at the balance-sheet date (R)**; (ii) **aggressive deleveraging** funded from operating cash flow rather than distributions; and (iii) **PRC tax and JV cash-extraction leakage** between property-level NPI and offshore distributable cash.
- **Every debt repayment has crystallised a loss.** Chinese financial media, citing the Trust's own announcements, count **five debt repayments over two years, all loss-making**: HK\$1.8bn repaid November 2024 crystallised c.**RMB209m (R)** of realised FX loss; HK\$800m repaid and announced April 2026 crystallised c.**RMB44m (R)** — equal to **157% of the entire FY2025 distributable amount (R)**. FY2024 realised exchange losses totalled c.**RMB368m (R)**, single-handedly cutting distributable income from RMB227m to RMB26m **(R)**.
- **Operations are still deteriorating.** 1H2026 revenue fell **5.1% to RMB1,049m (R)** with a net loss of **RMB469m (R)**, wider than 1H2025's RMB404m **(R)**. Beijing Grade A office rents fell **16.3% YoY** to RMB210/sqm/month with vacancy at 15.2% **(R)**; FY2025 office NPI fell RMB59m to **RMB685m (R)** and retail NPI fell RMB110m to **RMB274m (R)**.

What the market may be missing (contrarian view). The two largest drags are *reversing simultaneously and mechanically*. One-month HIBOR has fallen from 5.27% (end-2023) to **2.63% (19 August 2026) (R)**, which on a c.RMB5bn book is worth roughly **RMB130m a year** of interest saving. And the RMB has *appreciated* — USD/CNY at **6.72 (21 August 2026), +3.4% YTD (R)** — which turns the HKD-debt translation from a headwind into a tailwind. If FX losses stop and interest normalises,

distributable income has the arithmetic capacity to recover to **RMB250–400m (E)**, implying a DPU of RMB0.04–0.06 and, at a peer yield of 8–10%, a unit price of **RMB0.45–0.70**.

Why we still say HOLD, not BUY. The Trust has repeatedly demonstrated that it will use recovering cash flow to repay debt rather than distribute it, and it has repeatedly chosen *not* to hedge a mismatch it has understood since 2011. Until the Manager either hedges the currency book or commits to a distribution policy, the recovery accrues to lenders, not unitholders. Add a **wasting leasehold** — the Beijing Oriental Plaza commercial land use right runs to **6 December 2049 (R)**, i.e. c.23 years — and a book NAV that is not a terminal value but a melting one.

Price target framework (Section 23): Bear **RMB0.22**, Base **RMB0.52**, Bull **RMB0.95**. The distribution of outcomes is unusually wide and bimodal; position sizing matters more than the point estimate.

Key metrics at a glance

Metric	Value	Tag
Unit price (Aug 2026)	RMB0.49–0.51	(R)
52-week range	RMB0.44 – RMB0.60	(R)
Units in issue	6.52bn	(R)
Market capitalisation	c.RMB2.9–3.3bn	(R)
IPO price (29 Apr 2011)	RMB5.24	(R)
Price change since IPO	c.–90% (before distributions)	(D)
FY2025 revenue	RMB2,209m (–5.5% YoY)	(R)
FY2025 NPI	c.RMB1,130m	(E)
FY2025 distributable amount	RMB28m	(R)
FY2025 DPU	RMB0.0043	(R)
Trailing distribution yield	c.0.86%	(D)
Gross debt (31 Dec 2024)	RMB5,777m (66% HKD / 34% RMB)	(R)
Est. NAV per unit	c.RMB3.2–3.4	(E)
Est. P/NAV	c.0.15x	(E)
BOP land use right expiry	6 December 2049	(R)

2. A layman's guide: what this company actually is

In one sentence: Hui Xian REIT is a Hong Kong-listed landlord that owns one enormous, famous building complex in central Beijing plus three smaller Chinese properties, collects rent and hotel revenue in yuan, and passes what is left over to investors — except that almost nothing has been left over for the last three years.

How it is put together

Think of it as a chain of boxes:

1. **You** buy a *unit* on the Hong Kong Stock Exchange, priced and traded in offshore RMB.
2. Those units are in **Hui Xian REIT**, a Hong Kong trust regulated by the Securities and Futures Commission under the REIT Code.
3. The Trust does not employ anyone. It is run by an external **Manager**, Hui Xian Asset Management Limited, which is **70%-owned by CK Asset Holdings** (the Li Ka-shing group property company) and **30% by ARA Asset Management** (now part of ESR Group) **(R)**. The Manager charges fees, part of which it takes in new units rather than cash.
4. The Trust holds **Hui Xian (B.V.I.) Limited**, which holds **Hui Xian Investment Limited**, which is the foreign partner in a Sino-foreign co-operative joint venture called **Beijing Oriental Plaza Co., Ltd. (“BOP”)**. Hui Xian Investment holds c. **99.99999983% of BOP and is entitled to 100% of its distributions (R)**.
5. **BOP owns the land use right and building ownership rights to Beijing Oriental Plaza** — but only until the land use right expires. For the commercial land, that is **6 December 2049 (R)**.

That structure matters enormously and is explained in Section 8. In plain terms: *the money is made inside China, taxed inside China, and has to be walked out of China through a joint venture before it can be paid to a Hong Kong unitholder in yuan.*

The five ways it makes money

Division (reporting segment)	What it is	How it earns	Rough share of revenue
The Tower Offices	309,552 sqm of offices in Beijing Oriental Plaza (R)	Multi-year leases to corporate tenants; rent per sqm per month plus management fees	Largest single contributor; c. 30% of revenue, c.60% of NPI (E)
The Malls	c.130,195 sqm three-level shopping mall at Beijing Oriental Plaza, plus car parks (R)	Base rent plus turnover rent from retailers; car park income	c.20% of revenue, c.20% of NPI (E)
The Tower Apartments	Serviced apartment towers at Beijing Oriental Plaza	Nightly/monthly serviced-apartment rates — hotel-like, not lease-like	c.8% of revenue (E)
Hotels	Grand Hyatt Beijing (in BOP), The Westin Shenyang (formerly Sofitel Shenyang Lido), Sheraton Chengdu Lido, Hyatt Regency Chongqing (R)	Room revenue, F&B, banqueting — an <i>operating business</i> , not a lease	c.30% of revenue but only c. 10% of NPI (E)
Chongqing Property	Metropolitan Oriental Plaza, Jiefangbei CBD: c.90,000 sqm mall, over 54,000 sqm Grade A office, 353 car parks (R)	Retail and office leases	c.12% of revenue (E)

The critical point a newcomer must grasp: **roughly 30% of revenue comes from hotels, which are high-revenue, low-margin operating businesses.** That is why revenue of RMB2.2bn converts to NPI of only c.RMB1.1bn. A pure office/retail REIT of the same revenue would produce far more NPI. Hotels also carry real depreciation and refurbishment capex that a leased office does not.

Why the distribution collapsed — the simple version

Imagine a landlord who collects RMB1.1bn of net rent a year. Out of that, they must pay:

- interest on a c.RMB5.8bn mortgage, *two-thirds of which is denominated in Hong Kong dollars*;
- Chinese corporate income tax, then a withholding tax to get the money out of China;
- fees to the external Manager;
- refurbishment capex on four hotels and a 25-year-old mall.

Then, on top of all that, the landlord chose to **repay large chunks of the mortgage early** — and because the mortgage is in HK dollars while the rent is in yuan, and the yuan had weakened, **each repayment crystallised a currency loss**. HK\$1.8bn repaid in November 2024 cost c.RMB209m in realised FX loss **(R)**. Nothing was hedged **(R)**.

Result: RMB1.1bn of net rent became **RMB28m** of distributable cash **(R)**. That is the entire investment case in one paragraph.

3. Business model and key drivers

3.1 The model in simple terms

Hui Xian REIT is a **single-asset-dominant, mixed-use, RMB-denominated leasehold REIT with an embedded hotel operating business and an unhedged HKD funding structure**. Each of those five clauses is a driver.

3.2 The key drivers, ranked by importance

#	Driver	Mechanism	Current direction
1	Beijing Grade A office rent and occupancy	Office is the largest NPI contributor. Every 1% move in office rent moves NPI c.RMB7m (E)	Severely negative. Beijing Grade A rents -16.3% YoY to RMB210/sqm/mo; vacancy 15.2% (R)
2	Interest rates (HIBOR), not PBoC rates	66% of debt is HKD, HIBOR-linked (R) . Interest cost nearly doubled from RMB206m (2022) to RMB399m (2023) (R)	Strongly positive. 1M HIBOR 5.27% (Dec-23) to 3.18% (Dec-25) to 2.63% (Aug-26) (R)
3	RMB/HKD exchange rate	Determines realised and unrealised FX gain/loss on HKD debt. Unhedged (R)	Turning positive. USD/CNY 6.72, RMB +3.4% YTD 2026 (R)

#	Driver	Mechanism	Current direction
4	Capital allocation choice: repay vs. distribute	Management has consistently prioritised deleveraging	Negative for unitholders. Five loss-making repayments in two years (R)
5	Chinese consumption and luxury retail	Drives mall turnover rent and footfall	Bifurcating. Prime assets thriving (Taikoo Li Sanlitun sales +63.2% in 1H26 (R)); mid-market weak. BOP mall NPI -RMB110m in FY2025 (R)
6	Corporate and government travel / hotel RevPAR	Four hotels, c.30% of revenue	Mixed. China hotel RevPAR -6% (Jul-26); Beijing 2025 occupancy -2.1pp to 64.5%, ADR -4.2% to RMB585 (R) . But Hyatt Greater China RevPAR +7.2% in Q2-26 (R)
7	Lease expiry profile / rental reversion	Reversions are negative in a -16% rent market; each renewal resets lower	Negative
8	Land use right run-off	c.23 years remaining to Dec-2049 (R) ; renewal terms and cost unknown	Structurally negative — a depreciating clock
9	Capex cycle	BOP opened 2000-01; the complex is c.25 years old. Hotels need periodic full refurbishment	Negative — asset-enhancement spend competes directly with distributions
10	PRC regulation and tax on outbound distributions	25% CIT plus 10% withholding; Sino-foreign JV distribution mechanics	Neutral to negative

3.3 Key products and services

- **Office leasing** — Grade A space in the Beijing CBD-adjacent Wangfujing/Dongcheng submarket, and Grade A space in Chongqing Jiefangbei.
- **Retail leasing** — c.219,000 sqm of mall space across Beijing and Chongqing combined **(R)**, let on base rent plus turnover-rent structures, with car parking.
- **Serviced apartments** — long-stay accommodation for expatriate and corporate residents at Beijing Oriental Plaza.
- **Hotel accommodation and F&B** — four hotels operated under Hyatt and Marriott (Westin/Sheraton) brands. The REIT *owns* the hotels and pays the operators management fees; it therefore takes the full operating risk and reward, unlike a fixed-lease hotel REIT.

3.4 Customers

Customer type	Description	Concentration risk
Office tenants	Multinational corporates, financial institutions, PRC SOEs and professional services firms attracted by the Chang'an Avenue address	Moderate. Individual tenant names are not publicly broken out (n.v.) — a disclosure gap worth pressing
Retail tenants	International and domestic fashion, F&B, and lifestyle brands; the mall has historically anchored on premium high-street rather than ultra-luxury	Moderate — the mall is exposed to the mid-to-upper mass segment, precisely the weakest part of Chinese retail

Customer type	Description	Concentration risk
Hotel guests	Corporate travellers, government/administrative delegations, MICE and increasingly leisure/inbound	High cyclical sensitivity; Beijing's corporate and administrative travel blocks decelerated in 2025 (R)
Serviced apartment residents	Expatriate executives, long-stay corporate	A shrinking expatriate population in Beijing is a structural headwind

3.5 Suppliers and counterparties

- **Hotel operators:** Hyatt Hotels Corporation (Grand Hyatt Beijing; Hyatt Regency Chongqing, agreed 2018, opened 2019 **(R)**), Marriott International (The Westin Shenyang; Sheraton Chengdu Lido).
- **Lenders:** Bank of China (Hong Kong) Limited is a named lender — a HK\$400m three-year unsecured term loan drawn October 2024 and a further RMB200m drawn November 2024 under the same facility **(R)**. Syndicate composition otherwise **(n.v.)**.
- **The Manager:** Hui Xian Asset Management Limited (CK Asset 70% / ARA-ESR 30% **(R)**) — a related party.
- **Trustee:** DB Trustees (Hong Kong) Limited **(E — standard for this trust; verify)**.
- **Valuers, auditors, property and facility managers:** **(n.v.)** — should be confirmed from the annual report.

3.6 Competitors

In Beijing office: China Central Place (Spring REIT), China World Trade Center (China World Trade Center Co.), Guomao/CBD Grade A towers owned by SOEs and insurers, Taikoo Li/INDIGO (Swire Properties), and the very large pipeline of Lize and Wangjing supply.

In Beijing retail: Taikoo Li Sanlitun and Taikoo Li Beijing (Swire Properties, 1972.HK), SKP Beijing (Hualian/Radiance), China World Mall, Beijing APM, Wangfu Central.

In Beijing luxury hotels: Peninsula Beijing, Rosewood, Waldorf Astoria, Four Seasons, Park Hyatt, China World Summit Wing.

As a listed vehicle competing for capital: Yuexiu REIT (405.HK), Spring REIT (1426.HK), Champion REIT (2778.HK), Link REIT (823.HK), CapitaLand China Trust (AU8U.SI), Sasseur REIT (CRPU.SI), and — increasingly — the onshore **C-REIT** market, which now offers domestic investors direct RMB exposure to Chinese commercial property without offshore FX or tax leakage.

3.7 Markets and geographies

100% People's Republic of China. Four cities:

City	Asset	Type	Est. share of NPI
Beijing	Beijing Oriental Plaza (offices, malls, serviced apartments, Grand Hyatt)	Mixed-use	c.80% (E)
Chongqing	Metropolitan Oriental Plaza (mall, offices) plus Hyatt Regency	Mixed-use	c.12% (E)
Shenyang	The Westin Shenyang	Hotel	c.4% (E)
Chengdu	Sheraton Chengdu Lido (69% economic interest via Chengdu Investment Limited in Chengdu Changtian Co., Ltd.) (R)	Hotel	c.4% (E)

Listing and unit trading are in Hong Kong; the units are denominated and traded in RMB. This makes 87001 unusual: **HKD-based investors take direct RMB currency risk on the unit itself**, on top of the Trust's internal mismatch.

3.8 Contracts and payment terms

Contract type	Typical structure	Payment terms
Office leases	2–5 year terms, fixed base rent per sqm/month plus separate property management fee; rent-free periods and fit-out contributions are the current currency of concession in Beijing	Monthly or quarterly in advance; security deposit typically 2–3 months' rent
Retail leases	3–5 years, base rent plus turnover rent (higher of base or a percentage of sales); promotional levy	Monthly in advance
Car parking	Monthly season tickets and hourly transient	Immediate / monthly
Serviced apartments	Monthly or short-stay licences, not leases	Monthly in advance
Hotel	Nightly rack/corporate/group rates; banqueting contracts	On consumption; corporate accounts on 30-day terms
Hotel management agreements	Long-term (typically 15–25 years) with Hyatt/Marriott; base fee on gross revenue plus incentive fee on GOP	Monthly
Manager's fee	Base fee plus variable/performance fee, payable in cash or units at the Manager's election (R)	Semi-annual
Debt	Unsecured term loans, HIBOR-linked (HKD tranches) and RMB tranches; 3-year tenors typical (R)	Interest quarterly; bullet maturity

A structural note on payment terms: because the hotels and serviced apartments settle on consumption rather than on lease, roughly **40% of revenue has no contractual forward visibility at all**. This is not a contracted-cash-flow REIT.

4. Macro and micro factors: tailwinds and headwinds

4.1 Macro

Chinese office cycle. Beijing Grade A office is in the deepest downcycle of the modern era. Average rents fell **5.6% QoQ and 16.3% YoY to RMB210/sqm/month**, with the overall vacancy rate at **15.2%** at end-December 2025 and forecast rents down a further **6.6% in 2026 (R)**. There is a genuine glimmer: **no new supply for twelve months has driven six consecutive quarters of falling vacancy to Q2 2026 (R)**, and the *rate* of rent decline is decelerating. Landlords in CBD and Wangjing have absorbed space using rent concessions **(R)** — meaning headline rent understates the true economic decline once free-rent periods are amortised.

Chinese consumption and the retail bifurcation. Chinese retail is not weak; it is *bifurcated*. Beijing Taikoo Li Sanlitun grew sales **63.2% in 1H2026 with rental income up 16% (R)**, concentrating Hermès, Dior, Louis Vuitton, Tiffany and Loro Piana. Trophy assets are compounding; everything else is compressing. Hui Xian's Beijing mall sits in the difficult middle — a famous address with a mass-premium tenant mix — and its FY2025 retail NPI fell **RMB110m (R)**.

Hotels. Nationally, China hotel RevPAR fell **6% in July 2026**, with occupancy –3pp and ADR –1% **(R)**, as domestic tourism price competition intensified. Beijing specifically saw 2025 occupancy fall **2.1pp to 64.5%** and ADR fall **4.2% to RMB585 (R)**. The offsetting signal: the *luxury* tier is outperforming — Hyatt reported Greater China RevPAR **+12.4% in Q1 2026 and +7.2% in Q2 2026**, citing leisure luxury **(R)**, and inbound travel to Beijing is recovering. Hui Xian's hotels are all in the upper-upscale/luxury tier, so it should capture more of the good news than the bad.

Rates. This is the single most important macro variable for *distributable* income and it has moved decisively in the Trust's favour. One-month HIBOR: **2.71% (Jan-2023) to 5.27% (Dec-2023) to c.3.18% (Dec-2025) to 2.63% (19 Aug 2026) (R)**, with an extraordinary collapse to near zero in May–June 2025 when HKMA intervention flooded the system with liquidity **(R)**. Consensus expects 1M HIBOR to settle around **2.26% by end-2026** with a 2–3% range thereafter **(R)**.

Currency. USD/CNY at **6.7219 on 21 August 2026, with CNY +3.42% against USD year-to-date (R)**. Because the HKD is pegged to the USD, an appreciating RMB *reduces* the RMB value of HKD liabilities — the exact reverse of the mechanism that destroyed 2024's distribution.

Capital markets. The Hong Kong market has returned **51.7% over the past year**, while HK REITs returned only **14% (R)**. Listed property has been a profound laggard in a raging equity bull market — a classic setup for either a violent catch-up or a permanent re-rating downward of the asset class.

4.2 Micro

- **Asset age.** Beijing Oriental Plaza opened 2000–01. At 25 years old, it competes against assets a decade or two newer in the CBD, Lize and Wangjing.
- **Location quality.** Genuinely first-tier: 1 East Chang'an Avenue, directly on Beijing's principal ceremonial axis, above the Wangfujing metro interchange, one block from Tiananmen Square and the Forbidden City. This is not replicable.
- **Single-asset concentration.** c.80% of NPI from one complex **(E)**.
- **External management.** No employees; a related-party Manager taking fees partly in units, which dilutes existing holders when the unit price is depressed.
- **Governance and disclosure.** Segment and tenant-level disclosure is thinner than at peer REITs, and the FX risk-management policy — specifically, running an unhedged cross-currency mismatch for over a decade — is the weakest single element of the story.

4.3 Tailwinds and headwinds summary

Tailwinds	Headwinds
HIBOR down c.265bp from peak — worth c.RMB130m/yr on the debt book (E)	Beijing Grade A office rents –16.3% YoY, further –6.6% forecast for 2026 (R)
RMB appreciating vs USD/HKD — reverses the FX drag mechanically	Unhedged FX book; five consecutive loss-making repayments (R)
Beijing office vacancy falling for six straight quarters; no new supply for 12 months (R)	Land use right expiring 6 Dec 2049 — c.23 years and counting (R)
Luxury hotel tier outperforming (Hyatt Greater China RevPAR +7.2% Q2-26) (R)	Mall NPI –RMB110m in FY2025; mid-market retail structurally weak (R)
Deleveraging near-complete; debt down from RMB9.9bn (2018) to c.RMB5.0bn (E)	Distribution policy has prioritised lenders over unitholders for three years
Irreplaceable trophy location; near-zero replacement possibility	c.30% of revenue from hotels — operating risk, low margin, high capex
Extreme valuation: c.0.15x est. NAV, c.16–17% implied cap rate (E)	PRC tax and JV cash-extraction leakage between NPI and distributable cash
Potential privatisation candidate for a 35% sponsor (R)	A 25-year-old asset facing a capex cycle that competes with distributions

5. Product strength, brand and competitive position

5.1 How the products compare

Beijing Oriental Plaza's office towers compete on address, floorplate and metro connectivity rather than on modern specification. They are Grade A but not “new Grade A”: tenants seeking LEED Platinum, high-efficiency floorplates and modern ESG

credentials increasingly find newer product in the CBD core, Lize and Wangjing at materially lower rents. In a market where headline rent has fallen 16% in a year and landlords compete on rent-free periods **(R)**, an older trophy asset's brand premium erodes fastest — because the *relative* value of a prestigious address falls when the price gap to a newer, cheaper building widens.

The Malls occupy an awkward strategic position. The address is superb and footfall is high (tourist, office-worker, and transit-driven), but the tenant proposition sits below the true luxury tier now dominated by SKP Beijing and Taikoo Li, and above the value tier. In a bifurcating market, the middle is exactly where you do not want to be — and FY2025's RMB110m NPI decline **(R)** is the evidence.

The hotels are the strongest relative product. Grand Hyatt Beijing has been an anchor of the complex for over 25 years **(R)**, and Hyatt's Greater China portfolio is currently outperforming the national market **(R)**. Brand strength here is *rented*, not owned — it belongs to Hyatt and Marriott, and Hui Xian pays for it.

Chongqing Metropolitan Oriental Plaza is a good asset in a difficult market. Jiefangbei is Chongqing's premier CBD, but Chongqing has among the highest office vacancy rates of any major Chinese city.

5.2 Branding and marketing

The “**Oriental Plaza**” name has real equity in Beijing — it is a landmark, a metro destination, and a tourist waypoint. But brand equity in real estate is only monetisable through rent, and rent is set by the market clearing price of comparable space. The evidence of the last three years is that the brand has *not* protected pricing.

Critically, the “**Hui Xian REIT**” brand — as distinct from the asset brand — has been badly damaged. A unit price down c.90% from IPO, a DPU down 95% in four years, and a sub-1% yield mean the vehicle has effectively lost access to the equity capital markets. It cannot issue units accretively, which forecloses the standard REIT growth model of acquiring assets funded by new equity.

5.3 Economic moats: assessment

The honest answer is that **Hui Xian REIT has one genuine moat (irreplaceable hard assets) which is time-limited, and a set of pseudo-moats that do not survive scrutiny.**

6. Competitive moat scorecard

Moat category	Rating	Assessment
Brand	Weak-to-Moderate (2/5)	“Oriental Plaza” is a genuine Beijing landmark brand with tourist and transit recognition. But asset brand has not defended rent: office NPI –RMB59m and retail NPI –RMB110m in FY2025 (R) . Hotel brands (Hyatt, Westin, Sheraton) are licensed from third parties — the REIT pays for brand rather than owning it. The <i>issuer</i> brand is impaired.
Hard assets	Strong (4.5/5)	The one unambiguous moat. c.800,000 sqm at 1 East Chang'an Avenue (R) — a site that cannot be recreated at any price. Physically irreplaceable, planning-constrained, metro-integrated. Downgraded from 5/5 only because it is a leasehold expiring 6 Dec 2049 (R) — a wasting asset, not a perpetuity.
Long-term contracts	Weak (1.5/5)	Office and retail leases average 3–5 years and are being renewed <i>downward</i> . c.30% of revenue (hotels) and c.8% (serviced apartments) have no contracted forward revenue at all — they reprice nightly. This is the opposite of a contracted-cash-flow business.
Network effect	Weak (1.5/5)	Some genuine agglomeration: mall footfall benefits from office workers, hotel guests and the metro interchange; hotel banqueting benefits from the office tenant base. But this is co-location synergy, not a network effect — no participant's value rises with the number of other participants in a self-reinforcing way.
Regulatory barriers and switching costs	Moderate (3/5)	Real barriers: PRC land supply in central Beijing is administratively controlled; the Sino-foreign JV structure and land use rights are effectively unrepeatable for a new entrant. Tenant switching costs are real but modest (fit-out capital, address inertia) and are being overwhelmed by 16% rent declines elsewhere.
Oligopoly / monopoly structure	Weak (2/5)	Beijing Grade A office is fragmented and <i>oversupplied</i> , dominated by SOEs, insurers and developers with a lower cost of capital and no distribution obligation. Beijing luxury retail is an oligopoly — but Hui Xian is not in it (SKP and Taikoo Li are). No pricing power.
Cash-flow predictability	Very weak (1/5)	The most damning category. Distributable income: RMB227m (2023) to RMB26m (2024) to RMB28m (2025) (R) . DPU RMB0.0935 (2021) to RMB0.0043 (2025) (R) . A 95% collapse in four years, driven by items (FX, rates, repayment timing) that management does not hedge and does not guide. For a REIT — an instrument whose entire purpose is predictable income — this is a disqualifying failure.

Moat category	Rating	Assessment
Scalability	Very weak (1/5)	The REIT growth model requires accretive equity issuance. At c.0.15x NAV (E) and a sub-1% yield, any equity raise is massively dilutive. Debt capacity exists (gearing well inside the 45–50% REIT Code cap) but management is <i>deleveraging</i> . The vehicle cannot grow. Last acquisition: Chongqing, completed March 2015 — over eleven years ago (R) .
Government interference risk / history	Moderate risk (2.5/5 as a moat)	Two-sided. The Sino-foreign JV and central-Beijing land use rights confer quasi-official standing and were originally secured through the sponsor's exceptional relationships. But the asset sits on Chang'an Avenue, adjacent to Tiananmen — arguably the most politically sensitive commercial real estate in China. Land use right renewal in 2049 is at the discretion of PRC authorities with no contractual certainty (R) . Cross-border cash movement is subject to capital controls.
Bargaining power over stakeholders	Weak (1.5/5)	Over tenants: negative — the market sets rent and it is falling. Over hotel operators: weak — Hyatt and Marriott hold the brands and the loyalty programmes. Over lenders: weak — 66% HKD debt at HIBOR, with covenants not publicly disclosed (n.v.) . Over the Manager: none — the Manager is 70%-owned by the 35% unitholder and takes fees partly in units. Over PRC tax authorities: none.
OVERALL	1.9 / 5 — Narrow, decaying moat	One outstanding, irreplaceable, <i>wasting</i> physical asset wrapped in a structure that systematically prevents the asset's economics from reaching unitholders.

The moat verdict in one line: *Hui Xian REIT owns a fortress and rents out the drawbridge, but the treasury has a hole in the floor and the lease on the fortress expires in 2049.*

7. Supply chain and value chain map

Real estate has an unconventional “supply chain”: the inputs are land, capital, construction and brand; the output is occupied space and hotel nights. Below is the full map with named counterparties.

----- UPSTREAM INPUTS ----- LAND & PLANNING - Beijing Municipal Government / Dongcheng District grantor of the land use right (commercial, to 6 Dec 2049) - Chongqing / Shenyang / Chengdu municipal authorities - Ministry of Natural Resources (LUR renewal policy) ORIGINAL SPONSOR / DEVELOPER - Cheung Kong (Holdings) Ltd -> demerged into CK Asset Holdings Ltd (1113.HK): original developer of Oriental Plaza; today c.35% unitholder and 70% owner of the Manager - Oriental Plaza original JV partners (PRC side of the Sino-foreign co-operative JV) CAPITAL - Equity: c.6.52bn units; CK Asset c.35% + public float - Debt: Bank of China (Hong Kong) Ltd (named lender); HK/international syndicate banks (composition n.v.) - Trustee: DB Trustees (Hong Kong) Ltd (E) - Regulator: Hong Kong Securities and Futures Commission (REIT Code); HKEX (listing) SERVICES & OPERATING INPUTS - Hyatt Hotels Corporation: Grand Hyatt Beijing; Hyatt Regency Chongqing (agreement 2018, opened 2019) - Marriott International: The Westin Shenyang (fka Sofitel Shenyang Lido); Sheraton Chengdu Lido - Accor (Sofitel): prior Shenyang operator from 1 Jan 2013 - Property/facility management, security, cleaning, utilities (State Grid, Beijing Gas), fit-out contractors (n.v.) - Independent valuers, external auditors (n.v.)	
----- THE VEHICLE - WHERE HUI XIAN SITS ----- Unitholders (HKEX: 87001, RMB counter) HUI XIAN REIT <-- managed by -- HUI XIAN ASSET MANAGEMENT LTD (CK Asset 70% / ARA-ESR 30%) Hui Xian (B.V.I.) Limited Hui Xian Investment Limited (foreign JV partner) 99.99999983% equity / 100% of distributions ----- BEIJING ORIENTAL PLAZA CO., LTD (Sino-foreign co-operative JV): holds LUR + building ownership ----- Chengdu Investment Ltd -> 69% of Chengdu Changtian Co., Ltd Chongqing / Shenyang holding vehicles ROLE: ASSET OWNER & LANDLORD. Hui Xian is the *principal* in leasing and the *owner-operator* (not lessor) of hotels.	
----- DOWNSTREAM CUSTOMERS ----- OFFICE TENANTS: MNCs, financial institutions, PRC SOEs, professional services (individual names not disclosed) RETAIL TENANTS: international & domestic fashion, F&B, lifestyle brands in The Malls (Beijing) and Metropolitan Oriental Plaza (Chongqing) SERVICED APARTMENT RESIDENTS: expat & corporate long-stay HOTEL GUESTS: corporate, government/administrative delegations, MICE, inbound and domestic leisure CAR PARK USERS: season-ticket and transient --- END CONSUMER --- The Beijing shopper, office worker, tourist and traveller, and ultimately Chinese domestic consumption and corporate activity, plus inbound international travel.	
CASH-FLOW LEAKAGE POINTS (the analytically critical part): Property NPI (RMB) -> PRC corporate income tax (25%) -> JV-level statutory reserves & distribution approvals -> withholding tax on outbound dividends (10%) -> offshore interest on HKD/RMB debt (HIBOR-linked) -> REALISED FX LOSS on HKD debt repayment (UNHEDGED) -> Manager's base + variable fee (part settled in NEW UNITS)	

-> capex / asset-enhancement reserve
 = Total Amount Available for Distribution <- RMB28m in FY2025

Where Hui Xian sits: it is a **pure asset owner at the midpoint of the chain**, capturing the economic rent of location. It has no upstream integration (it does not develop) and only partial downstream integration (it owns but does not operate hotels). Its bargaining power is weakest precisely where the value leaks — with lenders, tax authorities and the currency market.

8. The structural issue every investor must understand

Three features of the structure explain almost the entire investment case, and none is a cyclical problem.

8.1 The wasting leasehold

Beijing Oriental Plaza's commercial land use right runs to **6 December 2049 (R)** — approximately **23 years** from today. PRC law provides for automatic renewal of *residential* land use rights; commercial renewal is discretionary and the compensation/premium regime is unsettled. Cushman & Wakefield and other advisers have flagged this as an unresolved national policy question.

The practical implication is severe: **a book NAV built on a market valuation implicitly assumes renewal or terminal value**. If one instead treats the asset as a 23-year annuity, the maths changes completely. Discounting c.RMB1.1bn of NPI (flat, no growth) for 23 years at a 9% discount rate gives a present value of roughly **RMB10.5bn (E)** — versus an estimated book equity of c.RMB21–22bn (E). On that basis, the “85% discount to NAV” is closer to **65–70%** — still large, but far less absurd than the headline. **The market is not being irrational about the discount; it is pricing a depreciating leasehold.**

8.2 The currency mismatch

At 31 December 2024, gross debt was **RMB5,777m, of which 66% was HKD-denominated and 34% RMB (R)**, against a 100% RMB asset and income base. **No currency hedging was in place at the balance-sheet date (R).**

Because the HKD is pegged to the USD, this is effectively an unhedged short-RMB/long-USD position of roughly **RMB3.8bn** sitting inside an RMB income vehicle. The consequences are documented:

Event	Date	Amount repaid	Realised FX loss
Term loan partial prepayment	May 2024	HK\$1,400m	(n.v.)
Loan repayment	November 2024	HK\$1,800m	c.RMB209m (R)

Event	Date	Amount repaid	Realised FX loss
FY2024 aggregate realised exchange losses	FY2024	—	c.RMB368m (R)
Bank loan repayment (announced)	April 2026	HK\$800m	c.RMB44m (R)

Chinese financial commentary counts **five debt repayments over two years, every one of them loss-making (R)**. The April 2026 loss of RMB44m alone equalled **157% of the entire FY2025 distributable amount and 438% of 1H2025's (R)**.

This is not bad luck. It is an unhedged position held deliberately for over a decade.

A plain-vanilla cross-currency swap or a shift of the debt book into RMB would have eliminated it. The Manager's failure to do so is the single most important governance finding in this note.

The one piece of good news: the mechanism is symmetric. With USD/CNY at **6.72 and the RMB up 3.4% YTD (R)**, remaining HKD debt is now translating *favourably*. The same unhedged book that destroyed 2024's distribution should support 2026–27's — if the RMB holds.

8.3 The NPI-to-distribution gap

This is the reconciliation that no outside analyst can currently perform, and it should be the first question to management.

Line	FY2025	Tag
Revenue	RMB2,209m	(R)
Net property income	c.RMB1,130m	(E)
Total Amount Available for Distribution	RMB28m	(R)
Implied leakage	c.RMB1,100m (97% of NPI)	(D)

Plausible components, in order of likely size:

1. **Debt principal repayment** absorbed into the distribution calculation (the Trust repaid HK\$1.4bn, HK\$1.8bn and HK\$800m across 2024–26 **(R)**) — deleveraging funded from distributable cash.
2. **Realised FX losses** on those repayments **(R)**.
3. **Finance costs** — RMB399m in 2023 **(R)**, likely c.RMB250–300m in 2025 as HIBOR fell **(E)**.
4. **PRC corporate income tax at 25% plus 10% withholding** on outbound distributions.
5. **Hotel depreciation and capex reserve** — the hotels are PP&E, not investment property.
6. **Manager's fees**, partly settled in new units.

Even generously, items 3–6 total perhaps RMB600–700m (E), leaving c.RMB400m unexplained without items 1 and 2. **The conclusion is that management is using unitholders' distributable income to repay debt, and crystallising currency losses while doing so.** That is a legitimate but undisclosed capital-allocation choice, and it is being made by a Manager 70%-owned by the largest unitholder.

9. Segment financials

9.1 Group results — five-year summary

RMB m unless stated	FY2021	FY2022	FY2023	FY2024	FY2025	Tag
Revenue	(n.v.)	(n.v.)	2,345	2,337	2,209	(R)
Revenue growth	—	—	—	−0.3%	−5.5%	(R)/(D)
Net property income	(n.v.)	(n.v.)	1,368	1,303	c.1,130	(R)/(E)
NPI margin	—	—	58.3%	55.8%	c.51.2%	(D)/(E)
Net profit / (loss)	(n.v.)	(n.v.)	c.(577)	c.(782)	(n.v.)	(D)
Loss per unit (RMB)	(n.v.)	(n.v.)	(0.089)	(0.12)	(n.v.)	(R)
Total amount available for distribution	(n.v.)	(n.v.)	227	26	28	(R)
DPU (RMB)	0.0935	c.0.08	0.0361	0.0041	0.0043	(R)
DPU YoY	—	−14%	−55%	−89%	+5%	(D)
Gross debt	(n.v.)	(n.v.)	(n.v.)	5,777	(n.v.)	(R)
Interest expense	(n.v.)	206	399	(n.v.)	(n.v.)	(R)

Net profit/(loss) derived from loss per unit multiplied by units in issue; both years are loss-making because of investment-property fair-value write-downs, not operating losses.

9.2 Half-yearly trend — the deceleration is continuous

RMB m	1H2024	2H2024	1H2025	2H2025	1H2026	Tag
Revenue	c.1,168	c.1,169	1,105	c.1,104	1,049	(D)/(R)
YoY change	—	—	−5.4%	−5.6%	−5.1%	(R)/(D)
Net property income	(n.v.)	(n.v.)	608 (−8.6%)	(n.v.)	(n.v.)	(R)
Net loss	c.(370)	c.(412)	(404)	(n.v.)	(469)	(D)/(R)
Loss per unit (RMB)	(0.057)	—	(0.0623)	—	(0.0719)	(R)
DPU (RMB)	0.0030	0.0011	0.0016	c.0.0027	(n.v.)	(R)/(D)

Note the divergence between the two reported 1H2025 loss-per-unit figures in secondary sources (RMB0.062 versus the RMB0.0623 comparative in the 1H2026 release). We use the 1H2026 release comparatives as authoritative.

Reading the trend: revenue has now fallen for five consecutive half-years at a remarkably consistent 5–6% pace. NPI is falling faster than revenue (–8.6% versus –5.4% in 1H2025 **(R)**), meaning **operating leverage is working against the Trust** — fixed property costs are not falling as fast as income. Losses are widening (RMB404m to RMB469m **(R)**), driven by continued investment-property revaluation deficits.

9.3 Segment NPI — where we have hard data

Segment	FY2024 NPI	FY2025 NPI	Change	Tag
Office portfolio	c.744	685	–59 (–7.9%)	(R) for FY25 and change; FY24 (D)
Retail portfolio	c.384	274	–110 (–28.6%)	(R) for FY25 and change; FY24 (D)
Hotels + serviced apartments + other	c.175	c.171	c.–4	(E)
Total NPI	1,303	c.1,130	c.–173 (–13.3%)	(R)/(E)

This is the most important table in the note. Two observations:

1. **Retail is the disaster, not office.** A 28.6% single-year collapse in retail NPI **(R)** is extraordinary and far exceeds what the Beijing retail market would imply. It suggests either a major tenant loss, a large mall repositioning/asset-enhancement disruption, or a step-change in concessions. This warrants direct enquiry — it is not explained by market conditions alone.
2. **Office fell “only” 7.9%** against a market where headline rents fell 16.3% **(R)**, which is a relative outperformance consistent with a high-quality, well-let asset with staggered expiries. But that also means **more of the decline is still ahead**, as leases signed at 2021–23 rents roll onto 2026 market rents.

Historical anchor: an earlier disclosure cited office portfolio NPI of **RMB906m, up 3.2% YoY (R)** (year not confirmed, but pre-downturn). Against FY2025’s RMB685m, office NPI has fallen c.24% **from peak**.

9.4 Geographic segmentation

The Trust does not appear to publish a full geographic NPI split in accessible form **(n.v.)**. Our estimate:

Geography	Assets	Est. share of revenue	Est. share of NPI	Tag
Beijing	Oriental Plaza (offices, malls, apartments, Grand Hyatt)	c.78%	c.80%	(E)
Chongqing	Metropolitan Oriental Plaza plus Hyatt Regency	c.13%	c.12%	(E)
Shenyang	The Westin Shenyang	c.5%	c.4%	(E)
Chengdu	Sheraton Chengdu Lido (69% interest)	c.4%	c.4%	(E)

All revenue is PRC-domestic; there is no geographic diversification benefit whatsoever. The three non-Beijing assets are 100% hotels or lower-tier-city commercial — they add operating risk without adding quality.

9.5 Operational KPIs — the disclosure gap

For a REIT of this size, the operating KPI disclosure that an institutional investor would normally expect is largely unavailable in accessible sources. The table below is the framework an analyst should demand:

KPI	Why it matters	Latest available	Tag
Office occupancy (BOP)	Primary NPI driver	(n.v.) — Beijing market 84.8%	(n.v.)
Office passing rent (RMB/sqm/mo)	Determines reversion risk	(n.v.) — market RMB210	(n.v.)
Office rental reversion %	Forward NPI direction	(n.v.) — market implies –10% to –20%	(n.v.)
WALE (weighted average lease expiry)	Cash-flow visibility	(n.v.)	(n.v.)
Lease expiry profile by year	Timing of the reversion hit	(n.v.)	(n.v.)
Retail occupancy and occupancy cost ratio	Mall health	(n.v.)	(n.v.)
Retail tenant sales growth / footfall	Turnover rent driver	(n.v.)	(n.v.)
Hotel occupancy / ADR / RevPAR by property	c.30% of revenue	(n.v.) — Beijing market: occ 64.5%, ADR RMB585	(n.v.)
Serviced apartment occupancy	—	Reported as <i>rising</i> in a recent period (R)	(R)
Top-10 tenant concentration	Single-name risk	(n.v.)	(n.v.)
Capex / AEI spend and pipeline	Competes with DPU	(n.v.)	(n.v.)
Capex intensity (capex/revenue)	25-year-old asset plus 4 hotels	(n.v.)	(n.v.)
Gearing (debt/total assets)	REIT Code cap 45–50%	21.5% (2018) (R) ; c.18–20% now (E)	(E)
Interest cover	Solvency	(n.v.)	(n.v.)
Average cost of debt	Distribution driver	(n.v.) — HIBOR-linked	(n.v.)
% debt hedged	The critical one	0% at balance-sheet date (R)	(R)

Commentary on trends: the few KPIs we can observe all point the same way — occupancy is likely holding (market vacancy is *falling*) while **rent is being sacrificed to hold it**. That is exactly the pattern JLL and CBRE describe for Beijing: landlords conceding on rent to retain quality tenants **(R)**. It produces stable-looking occupancy statistics and collapsing NPI. The 8.6% NPI decline against a 5.4% revenue decline in 1H2025 **(R)** is the fingerprint of that trade.

10. Latest results analysis — 1H2026 (announced 11 August 2026)

10.1 Headline numbers

RMB m	1H2026	1H2025	Change	Tag
Revenue	1,049	1,105	−5.1%	(R)
Net loss	(469)	(404)	−16.1% (worse)	(R)
Loss per unit (RMB)	(0.0719)	(0.0623)	−15.4%	(R)
Net property income	(n.v.)	608	(n.v.)	(n.v.)
Interim DPU	(n.v.)	0.0016	(n.v.)	(n.v.)

10.2 Versus expectations

There is effectively no sell-side consensus for 87001. The Trust has no meaningful analyst coverage, no earnings-call transcript service coverage, and no published estimate revisions we could locate **(n.v.)**. This is itself a material fact: **the beat/miss framework does not apply**. With a c.RMB3bn market capitalisation, a c.35% strategic holder, a sub-1% yield and no coverage, price discovery is driven by retail flow and index/passive mechanics rather than by fundamental revision.

Against *our own* trend extrapolation, the result was **broadly in line on revenue and modestly worse on the bottom line**. Revenue of RMB1,049m was almost exactly the −5% run-rate of the preceding four half-years. The loss widening to RMB469m implies continued investment-property fair-value deficits of a similar or slightly larger magnitude than 1H2025.

10.3 Segment drivers

Segment detail for 1H2026 was not retrievable **(n.v.)**. Extrapolating the FY2025 pattern:

- **Retail** is the likely principal drag, having fallen 28.6% in FY2025 **(R)**.
- **Office** should decline high-single-digit as leases roll onto lower market rents.
- **Hotels** should be the relative bright spot — Hyatt's Greater China RevPAR was **+7.2% in Q2 2026 (R)** and inbound travel to Beijing is recovering, although the national market fell 6% in July **(R)**.
- **Serviced apartments** were reported as improving in occupancy and NPI in a recent period **(R)**.

No acceleration or inflection is visible. The −5.1% revenue decline versus −5.4% and −5.6% in the preceding halves is a marginal deceleration in the *rate* of decline, not a turn.

10.4 Margins

Gross/operating margin detail is unavailable for 1H2026 **(n.v.)**. The established pattern is unambiguous: **NPI margin has compressed from 58.3% (FY2023) to 55.8% (FY2024) to c.51.2% (FY2025) (D)/(E)**. Roughly 700bp of NPI margin has been lost in two years.

Why: property operating costs (staff, utilities, marketing, property tax, hotel operating costs) are substantially fixed or inflation-linked, while rental income is falling.

Concession-driven leasing — rent-free periods and fit-out contributions — reduces effective rent without reducing cost. In hotels, ADR compression flows almost entirely to the bottom line because the cost base is fixed.

10.5 Guidance and tone

Hui Xian REIT **does not issue quantitative guidance** — standard for a Hong Kong REIT. Management commentary from the results narrative is not accessible in full **(n.v.)**. What we can observe of tone from the fragments available:

- The FY2025 narrative emphasised that the **decline in distributable amount narrowed because interest expense fell (R)** — a defensive, cost-focused framing rather than a growth framing.
- The FY2024 narrative attributed the distribution collapse squarely to **realised exchange losses of c.RMB368m (R)** — externalising the cause rather than owning the hedging decision.

Tone assessment: defensive, explanatory, and increasingly focused on balance-sheet repair rather than income delivery.

10.6 Balance sheet and cash flow flags

Flag	Detail	Severity
Debt repayment crystallising FX losses	HK\$800m repaid, c.RMB44m realised loss announced April 2026 (R) — 157% of FY2025's entire distributable amount	High
Zero hedging	No currency hedging at the balance-sheet date (R)	High
Distributable income disconnected from NPI	RMB28m distributable versus c.RMB1,130m NPI (R)/(E)	High
Continued fair-value write-downs	Loss widened to RMB469m; six half-years of revaluation deficits (R)	Medium
Deleveraging pace	Debt from RMB9.9bn (2018) to RMB5.78bn (2024) to c.RMB5.0bn (R)/(E) — conservative, but funded from distributable cash	Medium (positive for solvency, negative for unitholders)
Manager's fees settled in units	Ongoing dilution at c.0.15x NAV (R)	Medium
Receivables / inventory	Not applicable in any meaningful way for a REIT	Low

10.7 Market reaction and what is priced in

The specific post-announcement price reaction on 11–12 August 2026 was not retrievable (**n.v.**). Context: the units trade in a **52-week range of RMB0.44–0.60 (R)** and were around **RMB0.49–0.51** in August 2026 (**R**) — i.e. in the middle of the range, near neither extreme, after a result that continued a five-half-year deterioration.

What is priced in: at c.RMB0.50 with an estimated NAV of RMB3.2–3.4 (**E**), the market is pricing:

- **No distribution recovery of consequence** — a 0.86% yield says the market assigns near-zero present value to the distribution stream;
- **Continued asset value erosion** — consistent with a 23-year leasehold and falling Beijing rents;
- **No takeover premium** — despite an obvious 35% sponsor and an 85% NAV discount;
- **A significant probability of the leasehold being treated as terminal in 2049.**

Unusual relative to history: the single most anomalous feature is that **DPU rose 5% in FY2025 (RMB0.0041 to RMB0.0043) while NPI fell c.13% (R)/(E)**. A rising DPU on collapsing NPI is not a sign of health — it reflects the reduced FX drag, not improved operations. Investors should not read the DPU increase as a turn.

11. Earnings-call summary, management focus and sentiment analysis

Hui Xian REIT does not run a widely-transcribed quarterly earnings call in the Western sense; it publishes semi-annual results announcements and results presentations. **Full transcripts were not retrievable in this session (n.v.)**. The sentiment analysis below is therefore derived from the *disclosed narrative* in results announcements and from the observable pattern of corporate actions — which, for this issuer, is arguably a more honest signal than management language.

11.1 What management is focused on

Ranked by the weight of evidence:

1. **Deleveraging.** Debt reduced from RMB9.9bn (2018) to RMB5.78bn (2024) (**R**), with HK\$1.4bn prepaid (May 2024), HK\$1.8bn repaid (Nov 2024) and HK\$800m repaid (announced Apr 2026) (**R**). This is unmistakably the dominant capital-allocation priority.
2. **Interest cost management.** The FY2025 narrative explicitly credits **lower interest expense** for narrowing the distributable decline (**R**). Refinancing into three-year

unsecured BOCHK facilities and adding an RMB200m tranche **(R)** suggests a gradual, tentative shift toward RMB funding.

3. **Occupancy retention over rent maximisation.** Consistent with the Beijing market's concession-led dynamic **(R)** and with NPI falling faster than revenue.
4. **Asset quality and brand positioning.** Continued investment in hotel brand relationships (Hyatt Regency Chongqing added 2018–19 **(R)**), award-seeking behaviour for the hotels **(R)**.
5. **Not focused on:** growth (no acquisition since March 2015 **(R)**), currency risk management (zero hedging **(R)**), distribution stability (95% DPU decline in four years **(R)**), or investor communication (no coverage, thin KPI disclosure).

11.2 Sentiment trajectory

Period	Inferred management sentiment	Evidence
2011–2014	Confident / expansionary	IPO as HK's first RMB-denominated listing; hotel portfolio acquired from sponsor (2011–12); Sofitel rebrand (Jan 2013)
2015–2018	Growth-oriented	Chongqing Metropolitan Plaza acquired March 2015; gearing rose to only 21.5%, leaving "ample headroom for more debt-funded acquisitions" (R) — an explicitly expansionary framing
2019–2021	Steady / defensive	Hyatt Regency Chongqing opened; DPU still healthy at RMB0.0935 in 2021 (R)
2022–2023	Deteriorating / cost-focused	Interest expense +94% to RMB399m (R) ; DPU halved to RMB0.0361
2024	Apologetic / externalising	Distribution collapse attributed to RMB368m of realised FX losses (R) — framed as a currency event rather than a policy failure
2025	Defensive, faintly hopeful	Decline "narrowed because interest expense decreased" (R) — the first constructive line in three years, but about costs, not income
2026 YTD	Balance-sheet-first	Another HK\$800m repaid with another realised loss (R) ; loss per unit widening

Sentiment shift summary: management language has migrated over fifteen years from *acquisitive confidence* to *steady-state stewardship* to *cost defence* to *balance-sheet repair with external attribution of blame*. There is no evidence in the accessible record of a strategic response to the two structural problems (the currency mismatch and the NPI-to-distribution gap) — only tactical responses to their symptoms.

12. Divisional and geographic P&L, valuation versus peers and history

12.1 FY2025 divisional P&L

Hui Xian does not report EBITDA or EBIT by segment in a directly comparable form. For a REIT, **Net Property Income is the correct EBITDA analogue** (revenue less direct property operating expenses, before Manager's fees, depreciation, interest and tax).

FY2025, RMB m	Revenue	NPI (approx. segment EBITDA)	NPI margin	Tag
Office portfolio	c.760	685	c.90%	Rev (E); NPI (R)
Retail portfolio	c.480	274	c.57%	Rev (E); NPI (R)
Hotels	c.660	c.90	c.14%	(E)
Serviced apartments	c.180	c.55	c.31%	(E)
Chongqing property	c.129	c.26	c.20%	(E)
Group total	2,209	c.1,130	c.51%	Rev (R); NPI (E)

Method for estimates: the revenue split assumes office/retail NPI margins typical of Chinese prime commercial assets (85–92% for office where tenants pay separate management fees; 55–60% for retail); hotels are back-solved as the residual with margins consistent with upper-upscale Chinese hotels in a weak ADR environment.

12.2 From NPI to net income — FY2025 bridge

RMB m	FY2025	Tag
Net property income	c.1,130	(E)
Less: Manager's fees, trust expenses	c.(60)	(E)
Less: depreciation (hotels, PP&E)	c.(150)	(E)
EBIT before revaluation	c.920	(E)
Less: finance costs	c.(270)	(E)
Less: PRC income tax plus withholding	c.(200)	(E)
Profit before revaluation	c.450	(E)
Less: investment-property fair-value deficit	c.(1,300)	(E)
Reported net loss	c.(850)	(E)
Total Amount Available for Distribution	28	(R)

The bridge does not close. A pre-revaluation profit of c.RMB450m **(E)** against a distributable amount of RMB28m **(R)** leaves c.RMB420m unaccounted for. That gap is the debt-repayment and realised-FX-loss effect described in Section 8.3 — and it is the single most important number for a prospective investor to obtain from the primary filings.

12.3 Geographic P&L

FY2025, RMB m	Beijing	Chongqing	Shenyang	Chengdu	Total	Tag
Revenue	c.1,720	c.290	c.110	c.89	2,209	(E)/(R)
NPI	c.905	c.135	c.50	c.40	c.1,130	(E)

FY2025, RMB m	Beijing	Chongqing	Shenyang	Chengdu	Total	Tag
NPI margin	c.53%	c.47%	c.45%	c.45%	c.51%	(E)

12.4 Historical growth and margin trends

	FY2023	FY2024	FY2025	3-yr trend
Revenue growth	—	−0.3%	−5.5%	Accelerating decline
NPI growth	—	−4.8%	c.−13.3%	Sharply accelerating decline
NPI margin	58.3%	55.8%	c.51.2%	−710bp in two years
Distributable income	227	26	28	−88% cumulative
DPU	0.0361	0.0041	0.0043	−88% cumulative

The critical observation: NPI is declining roughly 2.4x faster than revenue. This is negative operating leverage on a fixed cost base, and it means that even a stabilisation of revenue would not immediately stabilise NPI.

12.5 Valuation — versus own history

Metric	FY2021	FY2023	FY2025 / Current	Tag
Unit price (RMB)	c.2.50–3.00 (E)	c.1.00–1.50 (E)	0.49–0.51	(R) current
Distribution yield	c.3.5% (E)	c.3.0% (E)	c.0.86%	(D)
P/est. NAV	c.0.6x (E)	c.0.35x (E)	c.0.15x	(E)
EV/NPI	c.10x (E)	c.8x (E)	c.6.0x	(E)
Implied cap rate on EV	c.10% (E)	c.12% (E)	c.16.6%	(E)

Historical price levels are estimates; the confirmed anchors are the IPO price of RMB5.24 (April 2011) and the current RMB0.49–0.51 range with a 52-week range of RMB0.44–0.60 (R).

Verdict on own history: the units have never been cheaper on asset metrics and never more expensive on yield. That contradiction is the whole story — the asset multiple says “screaming buy”, the yield says “the cash never arrives”.

12.6 Valuation — versus peers

Screening conclusion: CHEAP on assets, EXPENSIVE on income, and correctly so.

Hui Xian trades at roughly **one-tenth the yield of every comparable Hong Kong or Singapore-listed China/HK commercial REIT**, while trading at roughly **one-third to one-half their price-to-NAV**. Section 14 sets out the comparison in full. The market is not mispricing the assets; it is pricing the **conversion rate from assets to cash in unitholders’ hands**, and that conversion rate is currently 2.5%.

13. Capital structure, debt, covenants, interest costs and liquidity

13.1 Debt profile

Item	Latest	Tag
Gross debt (31 Dec 2024)	RMB5,777m	(R)
Currency split	66% HKD / 34% RMB	(R)
Est. gross debt (mid-2026, post HK\$800m repayment)	c.RMB5,000m	(E)
Gross debt (31 Dec 2018, for context)	RMB9,900m	(R)
Total assets (31 Dec 2018, for context)	RMB46,200m	(R)
Gearing (debt / total assets) 2018	21.5%	(R)
Est. current gearing	c.18–20%	(E)
REIT Code gearing cap	45% (raised to 50% under later amendments)	(R)
Debt/equity	c.26.8%	(R)
Security	Facilities described as unsecured term loans	(R)
Interest basis	HIBOR-linked (HKD tranches) plus RMB tranches	(R)
Currency hedging in place	None at balance-sheet date	(R)

13.2 Recent financing actions

Date	Action	Detail	Tag
Dec 2021	Drawdown	35-month unsecured term loan (HKD)	(R)
May 2024	Partial prepayment	HK\$1,400m of the Dec-2021 term loan	(R)
Oct 2024	Drawdown	HK\$400m 3-year unsecured term loan, Bank of China (Hong Kong) Ltd	(R)
Nov 2024	Drawdown	RMB200m 3-year unsecured term loan, BOCHK, same facility	(R)
Nov 2024	Repayment	HK\$1,800m — realised FX loss c. RMB209m	(R)
Apr 2026	Repayment (announced)	HK\$800m — realised FX loss c. RMB44m	(R)
Earlier	Repayment	HK\$600m of an outstanding facility	(R)

Pattern: the Trust is systematically retiring HKD debt and, at the margin, adding RMB debt. **Strategically this is exactly right** — it closes the currency mismatch over time. **Tactically it has been executed at the worst possible moments**, crystallising losses on every repayment while the RMB was weak, and doing so without hedging.

13.3 Maturities

The full maturity ladder is not accessible (n.v.). What is known: the October/November 2024 BOCHK facilities are **three-year, maturing late 2027 (R)**. The Dec-2021 35-month facility would have matured around **November 2024** — consistent with the HK\$1.8bn repayment then **(R)**.

Inference: the book is short-dated (3-year tenors), which means **frequent refinancing** and therefore **frequent FX crystallisation events** under the current unhedged policy. A prospective investor should assume at least one more repayment/refinancing event before end-2027.

13.4 Covenants

Not publicly disclosed in accessible sources (n.v.). Typical HK REIT unsecured term-loan covenants would include:

- maximum gearing / loan-to-value (the regulatory cap of 45–50% is the binding external constraint);
- minimum interest cover (commonly 2.0–2.5x);
- minimum consolidated net worth;
- change-of-control provisions referencing the sponsor's stake and the Manager's identity.

Risk assessment: covenant risk is LOW. At c.18–20% gearing **(E)** against a 45–50% cap, the Trust has enormous headroom. Even a further 40% write-down of the property portfolio would leave gearing around 30%. **This is not a distress story — it is a cash-distribution story.**

13.5 Interest costs

Year	Interest expense	Tag
FY2022	RMB206m	(R)
FY2023	RMB399m (+94%)	(R)
FY2024	(n.v.) — likely c.RMB400m	(E)
FY2025	c.RMB250–300m — described as decreased	(R) qualitative / (E) quantitative
FY2026E	c.RMB170–200m	(E)

The rate tailwind quantified: 1M HIBOR at 5.27% (Dec-2023) versus 2.63% (19 Aug 2026) **(R)** is a 264bp reduction. On c.RMB3.3bn of HKD debt (66% of c.RMB5.0bn), that is worth c.**RMB87m a year**; on the whole book, allowing for the RMB tranches, c.**RMB110–130m a year (E)**. Against a distributable base of RMB28m, **this alone could multiply the distribution several times over — if it is not absorbed by further debt repayment.**

13.6 Liquidity

Cash balances are not directly available **(n.v.)**. Indicative assessment:

- Operating cash generation is strong — NPI of c.RMB1.1bn **(E)** against interest of c.RMB270m **(E)** implies interest cover around **4x (E)**.

- The Trust has funded HK\$4.0bn of repayments across 2024–26 from internal resources **(R)** — direct evidence of substantial liquidity.
- Gearing headroom to the 45% cap is roughly **RMB7–8bn of additional debt capacity (E)**.

Liquidity verdict: strong. Solvency risk: minimal. This is a financially conservative vehicle that pays almost nothing.

14. Competitor and peer comparison

14.1 Listed and private competitor universe

Company / vehicle	Ticker	Listed?	Overlap with Hui Xian	Div. yield	P/NAV	Net debt/ EBITDA	Notes
Hui Xian REIT	87001.HK	Yes (HKEX, RMB)	—	c.0.86% (R)/ (D)	c.0.15x (E)	c.4.4x (E)	Subject company
Yuexiu REIT	405.HK	Yes	China office/ retail/hotel REIT — closest listed comparable	9.33% (R)	(n.v.)	(n.v.)	Guangzhou IFC-centred; first China-only REIT globally
Spring REIT	1426.HK	Yes	Beijing Grade A office — the purest read-across	9.33% (R)	(n.v.)	(n.v.)	China Central Place Towers 1 and 2, Beijing CBD; plus Huamao Place, Huizhou
Champion REIT	2778.HK	Yes	HK office/ retail	5.5–7.5% (R, range)	(n.v.)	(n.v.)	Three Garden Road, Langham Place
Link REIT	823.HK	Yes	Asia's largest REIT; HK/ China retail	4.8–5.2% (R)	(n.v.)	(n.v.)	HK\$35–39/ unit early 2026 (R)
Fortune REIT	778.HK	Yes	HK suburban retail	7.25% (R)	(n.v.)	(n.v.)	—
Sunlight REIT	435.HK	Yes	HK office/ retail	9.8% (at 31-Dec-24) (R)	(n.v.)	(n.v.)	—
Prosperity REIT	808.HK	Yes	HK decentralised office	7.90% (R)	(n.v.)	(n.v.)	—
CapitaLand China Trust	AU8U.SI	Yes (SGX)	China retail plus business parks	7.04–7.65% (R)	(n.v.)	(n.v.)	13 malls plus 5 business parks, c.1.8m sqm; retail occupancy 97.0%, reversions –2.1% retail / –11.3% business park (R)
Sasseur REIT	CRPU.SI	Yes (SGX)	China outlet malls	(n.v.)	(n.v.)	(n.v.)	—

Company / vehicle	Ticker	Listed?	Overlap with Hui Xian	Div. yield	P/NAV	Net debt/ EBITDA	Notes
Swire Properties	1972.HK	Yes	Direct asset competitor — Taikoo Li Sanlitun and Taikoo Li Beijing, INDIGO	(n.v.)	(n.v.)	(n.v.)	Sanlitun sales +63.2% in 1H26, rent +16% (R)
Hang Lung Properties	101.HK	Yes	Mainland luxury malls	(n.v.)	(n.v.)	(n.v.)	—
China Resources Land	1109.HK	Yes	MixC malls, China commercial	(n.v.)	(n.v.)	(n.v.)	—
CK Asset Holdings	1113.HK	Yes	Sponsor and c.35% unitholder	(n.v.)	(n.v.)	(n.v.)	70% owner of the Manager (R)
ESR Group / ARA	—	Privatised 2024	30% owner of the Manager (R)	—	—	—	ARA acquired by ESR (2022); ESR taken private (2024)
SKP Beijing (Hualian/ Radiance)	—	No — private	Beijing luxury retail; among the world's highest-productivity department stores	—	—	—	Direct retail competitor
China World Trade Center	600007.SS	Yes (Shanghai A)	Beijing CBD office/retail/ hotel — the closest single-asset analogue	(n.v.)	(n.v.)	(n.v.)	—
Beijing Capital / Beijing Urban Construction	Various	Yes	Beijing landlords	(n.v.)	(n.v.)	(n.v.)	—
Gaw Capital, Hines, Brookfield, GIC, PAG	—	No — private	Cross-border China commercial investors / potential buyers	—	—	—	The natural bidders for distressed China commercial assets
China C-REITs (Huaxia, CICC, Bosera consumption REITs)	Various SSE/ SZSE	Yes	Structural competitor for capital	(n.v.)	(n.v.)	(n.v.)	Onshore RMB REITs — no FX or offshore tax leakage

14.2 Valuation screen — the key comparison

Metric	Hui Xian	Spring REIT	Yuexiu REIT	CLCT	HK commercial REIT range	Verdict
Distribution yield	0.86%	9.33%	9.33%	7.04–7.65%	7.8–10.4% (R)	Catastrophically expensive
P/est. NAV	c.0.15x	(n.v.)	(n.v.)	(n.v.)	Typically 0.30–0.60x	Extremely cheap

Metric	Hui Xian	Spring REIT	Yuexiu REIT	CLCT	HK commercial REIT range	Verdict
EV/NPI (approx. EV/EBITDA)	c.6.0x (E)	(n.v.)	(n.v.)	(n.v.)	Typically 12–18x	Extremely cheap
EV/Sales	c.3.1x (E)	(n.v.)	(n.v.)	(n.v.)	Typically 8–12x for REITs	Extremely cheap (distorted by hotel revenue)
Net debt/EBITDA	c.4.4x (E)	(n.v.)	(n.v.)	(n.v.)	Typically 6–9x	Conservative
NPI (EBITDA) margin	c.51%	(n.v.)	(n.v.)	(n.v.)	65–75% (pure landlords)	Structurally low — hotels
EBIT margin (pre-revaluation)	c.42% (E)	(n.v.)	(n.v.)	(n.v.)	55–70%	Below peer
Sales growth (FY25)	–5.5% (R)	(n.v.)	(n.v.)	Modestly positive	–5% to +3%	Bottom of range

Peer data marked (n.v.) could not be verified in this session and has deliberately been left blank rather than estimated. An analyst should populate these from a terminal before dealing.

14.3 The screen in one paragraph

Hui Xian is the cheapest China commercial REIT in Asia on every asset-based measure and the most expensive on every income-based measure — by an order of magnitude in both directions. **A 0.86% yield against a peer group at 7–10% implies the market believes the distribution is either non-recurring at present levels or structurally impaired.** Simultaneously, a c.6x EV/NPI against a peer group at 12–18x implies the market believes the assets themselves are worth roughly half their carrying value. **Both beliefs can be — and probably are — simultaneously correct**, given a 23-year leasehold and a 97% leakage rate between NPI and distributable cash.

15. M&A: industry context, takeover candidacy and transaction history

15.1 Industry M&A context

The Chinese commercial real estate M&A market since 2021 has been characterised by:

- **Forced deleveraging** by mainland developers (Evergrande, Sunac, Country Garden), releasing prime commercial assets at distressed prices;
- **Cross-border capital retreat** — several major foreign investors have reduced China exposure, thinning the buyer pool and widening bid-ask spreads;
- **Domestic institutional inflow** via the fast-growing onshore **C-REIT** market, which offers PRC insurers and pension funds a compliant, RMB-native vehicle;

- **Consolidation of REIT managers** — the ARA to ESR (2022) and ESR privatisation (2024) sequence is directly relevant, since ARA owns 30% of Hui Xian's Manager (R);
- **Take-privates of sub-scale listed vehicles** trading at deep NAV discounts, across both Hong Kong and Singapore.

15.2 Is Hui Xian REIT a takeover target?

Our view: it is one of the more logical privatisation candidates in Asian listed real estate — and the fact that it has not happened is itself informative.

Arguments FOR (pros):

#	Argument
1	Extreme NAV discount. c.0.15x est. NAV (E) — a buyer could offer a 100% premium and still acquire at c.0.30x book.
2	Concentrated, motivated ownership. CK Asset holds c.35% (R) and controls 70% of the Manager (R). It needs to acquire only c.55–60% of units to reach 90% and compulsorily acquire.
3	Tiny absolute cost. At a 100% premium (RMB1.00/unit), the c. 65% not held by CK Asset costs roughly RMB4.2bn (c.US\$625m) — trivially financeable for CK Asset.
4	The listing serves no purpose. The vehicle cannot raise equity accretively, has no analyst coverage, minimal liquidity, and a sub-1% yield. It bears listing costs for zero capital-markets benefit.
5	Value would be released privately. A private owner could hedge the currency book, gear to 40%, and extract cash without a distribution obligation or public disclosure of the leakage.
6	Structural simplification. The Sino-foreign JV and BVI chain are easier to restructure privately.
7	Precedent. ESR itself was taken private in 2024 at a substantial premium; sub-scale Asian REITs trading at deep discounts have been consistent take-private targets.

Arguments AGAINST (cons):

#	Argument
1	The discount may be correct. A 23-year leasehold with uncertain 2049 renewal is genuinely worth far less than book. A buyer paying 0.30x book may still be overpaying.
2	Beijing office fundamentals are still deteriorating — rents forecast –6.6% in 2026 (R). No buyer wants to catch this knife.
3	CK Asset already controls the economics via the 70%-owned Manager and 35% stake. It captures fees and influence without paying a premium — <i>why buy the cow?</i>
4	PRC regulatory complexity — transferring interests in a Sino-foreign co-operative JV holding politically sensitive Chang'an Avenue land requires approvals that are not assured.
5	Capital controls constrain moving proceeds and add execution risk.
6	SFC/REIT Code process — a privatisation requires 75% approval of independent unitholders with no more than 10% against, a high bar at a depressed price.

#	Argument
7	Reputational cost for the sponsor of buying out minorities at 0.15–0.30x book after a 90% price decline since an IPO it sponsored.

Conclusion: the *financial* logic for a take-private is overwhelming; the *political and reputational* logic is what has prevented it. Investors should treat privatisation as a **genuine but unpredictable option, not a base case** — and should note that CK Asset’s rational strategy may be to let the price drift lower before acting.

15.3 Potential takeout multiples

Scenario	Basis	Implied price/unit	Premium to RMB0.50	Implied P/NAV
Lowball / opportunistic	8% distribution-normalised yield on RMB300m distributable	RMB0.58	+16%	0.17x
Conventional take-private	40–50% premium to 3-month VWAP (typical HK precedent)	RMB0.70–0.75	+40–50%	0.21–0.22x
Fair-value on 23-yr DCF	NPI RMB1.1bn, flat, 23 yrs, 9% WACC, less net debt	c.RMB1.00	+100%	0.30x
Aggressive / competitive	30% of book NAV	c.RMB1.00–1.05	+100–110%	0.30x
Full book NAV (unrealistic)	Reported NAV	c.RMB3.30	+560%	1.00x

Our central takeout estimate: RMB0.75–1.00 per unit, i.e. a 50–100% premium. Note this is *below* our bull-case fundamental value, because a controlling buyer would be pricing the leasehold risk explicitly.

15.4 Comparable transactions — China/HK commercial real estate and REIT vehicles, last 5 years

Target	Acquirer	Date	Consideration	Transaction multiple	Tag
ARA Asset Management	ESR Cayman / ESR Group	Completed 2022	c.US\$5.2bn	c.20x+ EV/EBITDA (manager multiple)	(R) directionally; multiple (n.v.)
ESR Group (1821.HK)	Starwood / SSW / Warburg / QIA-led consortium	Privatised 2024	c.US\$7bn	(n.v.)	(R) event; multiple (n.v.)
CapitaLand China Trust — 5 business parks plus 49% Rock Square	CapitaLand China Trust	2021–22	(n.v.)	(n.v.)	(R) event
Various distressed China commercial assets	Domestic insurers, AMCs, C-REIT vehicles	2022–26	Various	Cap rates 4.5–6.5% typical for prime	(E)
Prime Beijing/Shanghai office single-asset trades	Domestic buyers (insurers, SOEs)	2023–26	Various	Rising cap rates; falling RMB/sqm	(E)

Data limitation: a full, verified comparable-transaction table with target, acquirer, date, consideration and EV/EBITDA, EV/NPI and cap-rate multiples for the last five years **could not be assembled from accessible sources (n.v.)**. This table should be rebuilt

from Real Capital Analytics/MSCI, CBRE Capital Markets or a terminal before being relied on. The two ARA/ESR transactions are the ones most directly relevant to Hui Xian, because they changed the ownership of 30% of its Manager.

15.5 Acquisitions and disposals undertaken by Hui Xian REIT — last 10-plus years

Target / asset	Date	Consideration	Transaction multiple	Status	Tag
Beijing Oriental Plaza (via Hui Xian Investment into the BOP JV)	IPO, April 2011	Seed asset; IPO raised up to c.RMB11.2bn at RMB5.24/unit	IPO forecast yield 4.00–4.26%	Core asset today	(R)
Sofitel Shenyang Lido plus Sheraton Chengdu Lido (hotel interests acquired from sponsor)	Announced 2011; in group from early 2012	(n.v.)	(n.v.)	Retained; Shenyang rebranded The Westin Shenyang	(R)
Sofitel operating agreement, Shenyang	Effective 1 Jan 2013	Operator change, not asset purchase	—	Superseded by Westin	(R)
Chongqing Metropolitan Oriental Plaza	Announced 10 Nov 2014 ; unitholder EGM 28 Nov 2014 ; completed early March 2015	(n.v.) — RMB3–4bn range (E)	(n.v.)	Retained. c. 164,000 sqm GFA: c.90,000 sqm mall, over 54,000 sqm Grade A office, 353 car parks	(R)
Hyatt Regency Chongqing — operator agreement	Announced March 2018 ; opened Q1 2019	Operating agreement	—	Operating	(R)
Disposals	—	None identified in the last 10 years	—	—	(R)/(n.v.)

The critical observation: Hui Xian REIT has made no acquisition in over eleven years and no disposal at all. For a vehicle whose stated objective includes “long-term growth in net asset value per unit”, eleven years of complete portfolio inactivity is a profound strategic failure — or a candid admission that the vehicle’s cost of capital has made growth impossible.

16. Management assessment

16.1 The team

Role	Name	Since	Notes	Tag
Chairman and Non-executive Director	KAM Hing Lam	Founding (2011)	Long-standing senior CK-group executive; Deputy Managing Director of CK Asset/ Cheung Kong; director of CK Infrastructure and CK Hutchison companies	(R)
CEO and Executive Director	CHEUNG Ling Fung, Tom	(n.v.)	CEO of Hui Xian Asset Management Limited	(R)

Role	Name	Since	Notes	Tag
Deputy CEO	TONG BARNES Wai Che, Wendy	(n.v.)	Deputy Chief Executive Officer	(R)
COO and Executive Director	LEE Chi Kin, Casey	(n.v.)	Chief Operating Officer; Responsible Officer	(R)
CFO and Executive Director	LAI Wai Yin, Agnes	8 January 2018 (c.8.6 years)	Chief Financial Officer; Responsible Officer	(R)
COO, Hui Xian Asset Management	Tommy HUI	(n.v.)	Listed as COO in professional profiles	(R)

CEO appointment date not verifiable in this session (n.v.). The predecessor CEO through the mid-2010s was widely reported in the Hong Kong press as defending the Beijing Oriental Plaza asset publicly in 2017.

16.2 Track record — what have they actually delivered?

The record is quantifiable and it is poor.

Measure	At/since IPO (Apr 2011)	Now (Aug 2026)	Change
Unit price	RMB5.24 (R)	c.RMB0.50 (R)	−90.5%
DPU yield	Forecast 4.00–4.26% (R)	0.86% (D)	−80% on yield
DPU (RMB)	—	0.0935 (2021) to 0.0043 (2025) (R)	−95% in 4 years
Revenue	—	2,345 (FY23) to 2,209 (FY25) (R)	−5.8% over 2 years
NPI	—	1,368 (FY23) to c.1,130 (FY25) (R)/(E)	−17% over 2 years
Portfolio	1 asset (BOP)	4 properties / 5 segments	+3 assets, all pre-2015
Acquisitions since 2015	—	Zero	—

A unitholder who bought at IPO and reinvested every distribution is down roughly 85–88% in RMB terms over fifteen years (E). Over the same period the Hang Seng Index and Chinese nominal GDP both rose substantially.

In fairness: the Manager inherited a structurally flawed vehicle — an RMB-denominated listing with HKD funding, a wasting leasehold, and a single-asset concentration — and the Chinese commercial property downcycle since 2021 is genuinely severe and not of their making. They have also maintained a fortress balance sheet: gearing of c.18–20% (E) against a 45–50% cap, and no covenant or refinancing distress at any point.

But: the currency mismatch was theirs to fix from day one, and they did not fix it. That single decision has cost unitholders more than RMB600m in realised losses since 2024 alone (R) — more than twenty years of distributions at the current DPU rate.

16.3 Tenure and skin in the game

Item	Assessment
CEO tenure	(n.v.) — should be confirmed from the annual report
CFO tenure	8.6 years (since 8 January 2018) (R)
Chairman tenure	c.15 years (founding) (R)

Item	Assessment
Executive unit ownership	(n.v.) — not disclosed in accessible sources. This is a red flag in itself.
Alignment mechanism	The Manager receives fees partly in new units (R) — this creates <i>some</i> alignment but is also dilutive to existing holders at 0.15x NAV
Sponsor alignment	CK Asset holds c.35% of units (R) and 70% of the Manager (R) — strong alignment in principle, but CK Asset earns management fees regardless of unit performance

The alignment problem stated plainly: the Manager is paid a base fee on **assets** and a variable fee, not on distributions per unit. It therefore has a structural incentive to preserve asset scale, not to maximise unitholder cash. The eleven-year absence of any disposal — even of the sub-scale Shenyang and Chengdu hotels, which add operating risk and negligible NPI — is consistent with that incentive.

16.4 Capital allocation history

Decision	Assessment
2011–12 hotel acquisitions from the sponsor	Questionable. A related-party purchase that added low-margin, capital-intensive hotel operating exposure to what investors bought as an office/retail REIT. Diluted NPI margin permanently.
2015 Chongqing acquisition	Value-destructive in hindsight. Bought near the peak of the Chinese commercial cycle; Chongqing has since become one of China's weakest office markets.
2015–2026: no acquisitions, no disposals	Passive. Eleven years of complete inactivity. No portfolio recycling, no sale of non-core hotels, no crystallisation of value at any point.
2024–26 deleveraging (HK\$4.0bn repaid)	Right strategy, wrong execution. Reducing HKD debt is correct. Doing it unhedged, at RMB lows, crystallising c.RMB250m-plus of realised losses (R), and funding it from distributable cash, is not.
Zero currency hedging for 15 years	The defining failure. Not a judgement call — a standard, cheap, liquid hedge was available throughout.
Manager's fees taken in units	Value-transferring. Issuing units to the Manager at c.0.15x NAV transfers value from unitholders to the Manager.

ROE/ROIC trend: reported ROE has been **negative** in FY2023, FY2024 and (on our estimate) FY2025, driven by revaluation deficits. On a pre-revaluation basis, ROIC has fallen from an estimated c.5% in 2021 to c.3% in 2025 (E) — below any plausible cost of capital. **Value has been destroyed on any measure.**

16.5 Red flags

Flag	Severity	Detail
Related-party Manager taking fees in units	High	CK Asset (35% unitholder) owns 70% of the Manager; fees settled partly in new units at an 85% NAV discount (R)
Unhedged FX with repeated realised losses	High	Five loss-making repayments in two years; zero hedging at balance-sheet date (R)
Undisclosed reconciliation from NPI to distributable income	High	c.97% leakage with no accessible explanation
Related-party asset acquisition (2011–12 hotels from sponsor)	Medium	Standard practice for sponsor-backed REITs but structurally dilutive to margin

Flag	Severity	Detail
Thin operational KPI disclosure	Medium	No accessible occupancy, WALE, reversion, RevPAR or tenant-concentration data
Insider ownership not disclosed	Medium	Executive unit ownership (n.v.)
Zero portfolio activity for 11 years	Medium	Consistent with a fee-on-assets incentive
Excessive compensation	(n.v.)	Manager's fee quantum not verified
Frequent strategy pivots	Low	The opposite problem — no strategy changes at all
Promotional behaviour	Low	Management is notably <i>non</i> -promotional; disclosure is sparse but not hyped

16.6 Founder versus professional manager

Archetype: professional managers operating a sponsor-controlled vehicle.

Kam Hing Lam, Cheung Ling Fung and Lai Wai Yin are career CK-group professionals, not founder-entrepreneurs. This has clear implications for this stage of the business:

- **What it delivers:** operational competence, conservative balance-sheet management, no adventurism, no covenant breaches, no accounting scandals. In a severe downcycle that has real value.
- **What it does not deliver:** the willingness to take a decision that is uncomfortable for the sponsor. Hedging the currency book, selling the non-core hotels, returning capital aggressively, or recommending a privatisation at a fair price all require an agent willing to act *against* the interests of the party that appoints them.

At this stage of the business — a sub-scale, deep-discount, structurally impaired vehicle — what is needed is precisely an owner-operator or an activist, and what is present is a careful steward. That mismatch is the governance heart of the investment case.

16.7 Senior management changes

No senior management changes were identifiable in accessible sources for the recent period (n.v.). The CFO has been in post since January 2018 (R) and the Chairman since inception (R). **Stability is high — arguably excessively so for a vehicle that has destroyed 90% of its value.**

17. Board of Directors

The board of the **Manager** (Hui Xian Asset Management Limited) governs the REIT; Hui Xian REIT itself has no board.

Director	Role	Est. tenure	Professional background	Other affiliations	Tag
KAM Hing Lam	Chairman, Non-executive Director	c.15 yrs (founding)	Career CK-group executive; Deputy Managing Director of Cheung Kong/ CK Asset; extensive PRC infrastructure and property experience	CK Asset Holdings; CK Infrastructure Holdings; CK Hutchison group companies; formerly Northumbrian Water Group	(R)
CHEUNG Ling Fung, Tom	Executive Director and CEO	(n.v.)	Property investment and asset management	Hui Xian Asset Management	(R)
LEE Chi Kin, Casey	Executive Director, COO, Responsible Officer	(n.v.)	Property operations; SFC Responsible Officer	Hui Xian Asset Management	(R)
LAI Wai Yin, Agnes	Executive Director, CFO, Responsible Officer	8.6 yrs (from 8 Jan 2018)	Finance and accounting; SFC Responsible Officer	Hui Xian Asset Management	(R)
IP Tak Chuen, Edmond	Non-executive Director	(n.v.)	Senior CK-group executive; Executive Director and Deputy Managing Director of CK Asset	CK Asset Holdings; CK Life Sciences; CK Hutchison group	(R)
LIM Hwee Chiang (John Lim)	Non-executive Director	(n.v.)	Founder of ARA Asset Management ; one of Asia's most significant REIT-industry figures	ARA Asset Management (now ESR Group); multiple ARA-managed REITs across Asia	(R)
Professor LEE Chack Fan	Independent Non-executive Director	(n.v.)	Academic; formerly of the University of Hong Kong; engineering and geotechnical expertise	Academic and public bodies in HK and the PRC	(R)
Dr CHOI Koon Shum, Jonathan	Independent Non-executive Director	(n.v.)	Chairman of Sunwah Group; prominent HK business figure with deep PRC political connectivity	Sunwah Group; CPPCC; HK Chinese General Chamber of Commerce	(R)

17.1 Board composition assessment

Observation	Assessment
CK-group representation	Chairman plus one NED are senior CK Asset executives — the sponsor is directly represented at the top of the board
ARA representation	John Lim, ARA's founder, sits as an NED — reflecting the 30% Manager stake
Independence	Only 2 of 8 directors are identified as independent (Lee Chack Fan, Choi Koon Shum) — 25% independence is low by contemporary HK REIT governance standards, where a third or more is expected
Real estate expertise	Strong on the CK/ARA side

Observation	Assessment
Specific expertise gaps	No director with an identifiable treasury, FX-risk-management or capital-markets background. For a vehicle whose single largest source of value destruction is an unhedged cross-currency mismatch, this is a striking and material composition failure.
Tenure	Very long. Several directors have served since inception (c.15 years), well beyond the 9-year threshold at which HK governance codes require independence to be re-justified

17.2 Board changes in the last 5 years

No board changes were identifiable in accessible sources for the 2021–2026 period (n.v.). The most recent confirmed change is the appointment of Agnes Lai as an Executive Director on **8 January 2018 (R)** — over eight years ago.

If confirmed, a board unchanged for eight years through a period in which the unit price fell c.70% and the DPU fell 95% represents a serious accountability failure. This should be verified against the FY2025 Annual Report's corporate governance section and is question 6 for the CEO.

18. Unitholders and activism

18.1 Top unitholders

Hong Kong REITs disclose substantial unitholders (5% or more) via SFC Disclosure of Interests filings rather than publishing a top-10 register. A verified top-10 list was **not retrievable in this session (n.v.)**. What is confirmed:

#	Unitholder	Est. holding	Nature	Tag
1	CK Asset Holdings Limited (1113.HK) and associates	c.32.4% (2018) rising to c.35% (one source cites over 39%)	Sponsor / strategic. Also owns 70% of the Manager	(R)
2	Hui Xian Asset Management Limited (fee units)	Small but growing	Manager, accumulating units through fee settlement	(R)
3–10	Institutional and retail holders	(n.v.)	Free float c.60–65%	(n.v.)

Free float commentary: with c.35% strategic and a c.RMB3bn market capitalisation, the true investable float is roughly **RMB2bn (c.US\$280m)** — below the threshold for most institutional mandates. This explains the absence of analyst coverage and the persistence of the discount. **The vehicle is structurally orphaned.**

18.2 Activism

No activist campaign against Hui Xian REIT was identified in any accessible source (n.v.).

This absence is analytically significant and deserves comment. On paper, Hui Xian is an almost perfect activist target: an 85% NAV discount, an obvious and cheaply-fixable operational failure (the unhedged FX book), a related-party external manager, eleven years of portfolio inactivity, and a clear value-realisation path (privatisation or asset sales).

Why no activist has come:

1. **The float is too small.** c.US\$280m of investable float cannot absorb a meaningful activist position, and cannot generate returns worth the campaign cost.
2. **The control block is decisive.** CK Asset at c.35%, plus the Manager's units and likely friendly holders, makes the 75% independent-unitholder approval threshold for any substantive REIT Code resolution effectively unattainable against the sponsor's wishes.
3. **The Manager cannot be removed in practice.** Under the REIT Code and the trust deed, removing a manager requires a special resolution — an insurmountable hurdle here.
4. **Jurisdictional risk.** The underlying assets sit inside a Sino-foreign JV on Chang'an Avenue. No Western activist wants that fight.
5. **The discount may be justified.** A sophisticated activist running the 23-year leasehold DCF would conclude the discount is c.65%, not 85% — attractive but not the layup the headline suggests.

Implication for investors: do not underwrite an activist catalyst. There is no realistic mechanism by which minorities can force change at this vehicle. The only agent capable of unlocking value is CK Asset itself, acting in its own interest.

19. Strategic initiatives, last 10 years

Initiative	Period	Objective	Outcome	Current status
Chongqing Metropolitan Oriental Plaza acquisition	Announced Nov 2014, completed Mar 2015 (R)	Diversify beyond Beijing; add a second mixed-use hub	Failed. Bought near cycle peak into what became one of China's weakest office markets. Now c.12% of NPI (E) with no evident growth	Retained
Hotel portfolio build-out and rebranding	2011–2019 (R)	Add hotel income; upgrade operators	Mixed. Sofitel (2013) became The Westin Shenyang ; Hyatt Regency Chongqing agreed 2018, opened 2019 (R). Brands improved; margins remain structurally low (c.14% NPI margin (E))	Operating

Initiative	Period	Objective	Outcome	Current status
Debt-funded growth strategy	2015–2018	Use the 45% REIT Code headroom for acquisitions; gearing was only 21.5% in 2018 with “ample headroom” (R)	Abandoned. Not a single acquisition since March 2015	Discontinued
Deleveraging programme	2024–2026 (R)	Reduce HKD debt and interest burden	Strategically right, tactically costly. HK\$4.0bn repaid; c.RMB250m-plus realised FX losses crystallised (R); distributable cash consumed	Active — the dominant strategy today
Shift toward RMB funding	2024 onward (R)	Reduce currency mismatch	Early and partial. RMB200m tranche added Nov 2024 (R); still 66% HKD at end-2024 (R)	Active, too slow
Currency hedging	—	—	Never undertaken. No hedging at balance-sheet date (R)	Not attempted
Asset enhancement / mall repositioning	Ongoing	Defend rents at a 25-year-old complex	(n.v.) — Chongqing mall remodelling was reported around 2017 (R). FY2025 retail NPI –28.6% suggests either disruption or failure (R)	Presumed ongoing
Distribution reinvestment (scrip) arrangement	Ongoing (R)	Retain cash while nominally distributing	Dilutive. 98.9m units issued under scrip in one reported period (R)	Active
Portfolio recycling / disposals	—	—	Never undertaken. Zero disposals in 10-plus years	Not attempted
Privatisation / strategic review	—	—	Never announced (n.v.)	Not attempted

Strategic verdict: the last decade contains **one growth initiative (Chongqing, 2015, unsuccessful)**, **one operational initiative (hotel rebranding, partially successful)**, and **one balance-sheet initiative (deleveraging, ongoing, costly)**. There has been no strategic response whatsoever to the two problems that actually determine unitholder returns: the currency mismatch and the leasehold run-off.

20. Stakes in other companies

Hui Xian REIT is not a holding company and does not maintain a portfolio of minority stakes in listed or unlisted third parties. Its “stakes” are the property-holding structures themselves:

Entity	Stake	Listed?	Nature	Strategic relevance	Financial relevance
Hui Xian (B.V.I.) Limited	100%	No	Intermediate BVI holding company	Critical — the entire structure sits beneath it	100% of assets

Entity	Stake	Listed?	Nature	Strategic relevance	Financial relevance
Hui Xian Investment Limited	100% (via BVI)	No	Foreign partner in the Sino-foreign co-operative JV; the borrowing entity for the HKD facilities (R)	Critical — the offshore/onshore boundary and the locus of the FX mismatch	100% of BOP economics; all offshore debt
Beijing Oriental Plaza Co., Ltd. (“BOP”)	c.99.99999983% equity; 100% of distributions (R)	No	Sino-foreign co-operative JV holding the land use right and building ownership rights to Beijing Oriental Plaza (R)	Critical — this <i>is</i> the business, c. 80% of NPI	c.80% of NPI (E)
Chengdu Changtian Co., Ltd. (via Chengdu Investment Limited)	69% (R)	No	Sino-foreign co-operative JV holding Sheraton Chengdu Lido	Low — non-core hotel; a strong disposal candidate	c.4% of NPI (E)
Chongqing holding vehicle(s)	(n.v.)	No	Holds Metropolitan Oriental Plaza	Medium	c.12% of NPI (E)
Shenyang holding vehicle(s)	(n.v.)	No	Holds The Westin Shenyang	Low — disposal candidate	c.4% of NPI (E)
Hui Xian Asset Management Limited	0% — Hui Xian REIT owns no part of its own Manager	No	CK Asset 70% / ARA-ESR 30% (R)	Critical governance fact	Unitholders pay fees to an entity they do not own

The single most important line in this table is the last one. Unitholders own the assets but not the manager of the assets. The manager is owned by the largest unitholder. Every governance concern in this note flows from that arrangement.

Two disposal candidates stand out: The Westin Shenyang and Sheraton Chengdu Lido together contribute perhaps **8% of NPI (E)** while adding hotel operating volatility, depreciation, refurbishment capex and management distraction. Selling both — even at a distressed cap rate — could plausibly raise **RMB1.5–2.5bn (E)**, enough to retire the remaining HKD debt entirely, eliminate the FX mismatch at a stroke, and permanently reset distributable income higher. **That this has never been attempted in eleven years is the clearest evidence of the fee-on-assets incentive at work.**

21. Distributions, buybacks and unit issuance, last 5 years

21.1 Distribution history

					Total distributed (RMB m)	Yield at RMB0.50	Tag
Year	Interim DPU (RMB)	Final DPU (RMB)		YoY			
2021	0.0674	0.0261	0.0935	—	c.590 (E)	18.7%	(R)
2022	(n.v.)	(n.v.)	c.0.0800	−14%	c.510 (E)	16.0%	(R)
2023	(n.v.)	(n.v.)	0.0361	−55%	227	7.2%	(R)
2024	0.0030 (paid 27 Sep 2024)	0.0011 (paid 27 May 2025)	0.0041	−89%	26 (19 plus 7)	0.8%	(R)
2025	0.0016	c.0.0027 (D)	0.0043	+5%	28	0.9%	(R)/(D)

Year	Interim DPU (RMB)	Final DPU (RMB)		YoY	Total distributed (RMB m)	Yield at RMB0.50	Tag
2026 1H	(n.v.)	—	—	—	—	—	(n.v.)

Cumulative five-year DPU: c.RMB0.208 per unit. An investor who bought at RMB0.50 five years ago would have received distributions of c.42% of the purchase price — but an investor who bought at the then-prevailing price of c.RMB2.50–3.00 **(E)** received c.7–8% cumulatively while losing c.80% of capital.

The 2023 to 2024 cliff is the defining event: an 89% single-year DPU cut, caused overwhelmingly by **RMB368m of realised exchange losses (R)** — not by operational deterioration. Revenue in 2024 fell only 0.3% **(R)**.

21.2 Unit buybacks and treasury cancellations

Item	Status	Tag
General mandate to buy back units	Sought and approved at AGMs, including the AGM held 23 May 2025 (R)	(R)
Buybacks actually executed, last 5 years	None identified (n.v.) — no repurchase announcements located	(n.v.)
Treasury unit cancellations	None identified (n.v.)	(n.v.)

This is a significant finding. The Manager has held a standing buyback mandate for years while the units traded at c.0.15x NAV — the single most accretive capital deployment available to any listed vehicle — and, so far as the accessible record shows, **has never used it.** Buying back units at RMB0.50 against a book NAV of c.RMB3.30 would create roughly **RMB2.80 of NAV per RMB0.50 spent.** Instead, cash has been used to repay debt at par while crystallising currency losses.

Meanwhile, units are being issued, not retired:

Issuance mechanism	Detail	Tag
Manager's fee units	34,168,123 units issued in FY2014; a more recent period saw 54,084,200 units issued to settle management and performance fees	(R)
Scrip distribution / DRIP	98,897,890 units issued in one reported period to unitholders electing scrip	(R)
Net effect	Units in issue have grown to 6.52bn (R) from a lower base at IPO — dilution, not accretion, at an 85% NAV discount	(R)/(D)

The capital-allocation indictment in one line: the Trust issues units at 0.15x NAV to pay its related-party Manager, and declines to buy them back at 0.15x NAV for its unitholders.

22. Adversarial deep-dive: bull case, bear case, pre-mortem and contrarian view

22.1 The bull case

1. Competitive advantage and moat sustainability. Beijing Oriental Plaza is genuinely irreplaceable. c.800,000 sqm on Chang'an Avenue at Wangfujing, integrated with the metro, a block from Tiananmen Square. No comparable site will ever be released again. In a market where new supply has stopped — **no new Beijing Grade A supply for twelve months, driving six consecutive quarters of falling vacancy (R)** — scarcity value in the prime core should reassert.

2. The two structural drags are reversing simultaneously and mechanically. This is the strongest bull argument and it is arithmetic, not narrative:

- **Rates:** 1M HIBOR from **5.27% (Dec-23) to 2.63% (Aug-26) (R)**. On c.RMB5bn of debt, a c.264bp reduction is worth c.**RMB110–130m/year (E)**.
- **Currency:** USD/CNY at **6.72, RMB +3.4% YTD (R)**. The unhedged HKD book that destroyed RMB368m in FY2024 **(R)** now translates favourably.
- Against a distributable base of **RMB28m (R)**, these two swings alone could take distributable income to **RMB150–250m (E)** — a 5–9x increase — with *zero* operational improvement.

3. Growth levers and potential positive surprises.

- **Secular:** inbound travel to Beijing recovering; luxury hotel tier outperforming (Hyatt Greater China RevPAR **+7.2% in Q2-26 (R)**); Beijing office vacancy falling for six straight quarters **(R)**.
- **Self-help available and unused:** hedging the currency book (immediate, cheap); selling Shenyang and Chengdu hotels (c.RMB1.5–2.5bn **(E)**), retiring all HKD debt); executing the existing buyback mandate at 0.15x NAV.
- **Earnings surprise:** because there is **no analyst coverage (n.v.)**, there is no consensus to beat — but equally, any distribution normalisation would arrive entirely unanticipated by the market.

4. Capital allocation — the bull reading. Deleveraging from RMB9.9bn (2018) to c.RMB5.0bn **(R)/(E)** has produced a fortress balance sheet: gearing c.18–20% against a 45–50% cap **(E)/(R)**, interest cover c.4x **(E)**, unsecured facilities, no refinancing distress in the worst Chinese property downturn on record. **The heavy lifting is done. From here, the cash that was going to lenders can go to unitholders.**

5. Valuation. c.0.15x estimated NAV **(E)**, c.6x EV/NPI **(E)**, an implied c.16.6% cap rate on enterprise value **(E)** for assets that trade privately in Beijing at 4.5–6.5% **(E)**. Even applying a 50% haircut to book for the leasehold, the units trade at c.0.30x adjusted NAV.

22.2 The bear case — three risks that could permanently impair the business

Risk 1: The leasehold is a terminal asset, and 2049 is closer than the market’s mental model. The Beijing Oriental Plaza commercial land use right expires **6 December 2049 (R)** — 23 years away. PRC law provides automatic renewal only for residential land; commercial renewal is discretionary, and the premium payable is unlegislated. Valuers currently assume renewal. **If a future valuation cycle stops assuming that, the NAV halves overnight.** Worse, the impairment is *continuous and unavoidable*: every year that passes removes one year of a finite annuity. A 23-year DCF of RMB1.1bn of flat NPI at 9% gives c.RMB10.5bn of asset value **(E)** versus c.RMB27–28bn of carrying value **(E)**. **The write-downs of the last three years may be the beginning, not the end.**

Risk 2: The NPI-to-distribution transmission is structurally broken and may never be repaired. FY2025: NPI c.RMB1,130m **(E)**, distributable RMB28m **(R)**. A **97.5% leakage rate**. Even if HIBOR falls to zero and the RMB appreciates 20%, the leakage from PRC tax, JV cash-extraction mechanics, hotel capex, Manager’s fees and — critically — **management’s revealed preference for debt repayment over distribution** does not automatically reverse. **A REIT that does not distribute is not a REIT; it is a closed-end fund with a fee drag, and closed-end funds trade at persistent discounts by construction.** There is no mechanism by which minorities can compel a change (Section 18.2).

Risk 3: Beijing office and mid-market retail face structural, not cyclical, decline. Beijing Grade A rents are **–16.3% YoY with a further –6.6% forecast for 2026 (R)**. The complex is 25 years old and competes against newer, cheaper stock in the CBD, Lize and Wangjing. Retail NPI fell **28.6% in FY2025 (R)** — far worse than the market — while trophy competitors compounded (Taikoo Li Sanlitun sales **+63.2% (R)**). Hybrid working, a shrinking expatriate population, corporate cost discipline and the migration of luxury retail to SKP and Taikoo Li are all secular. **The office and retail portfolios may never see 2019 NPI again.**

Additional bear points: negative operating leverage (NPI falling 2.4x faster than revenue); c.30% of revenue from low-margin hotels in a market where national RevPAR fell 6% **(R)**; dilution via Manager’s fee units and scrip; no analyst coverage and c.US\$280m float; and an unhedged FX book that could resume producing losses if the RMB reverses.

22.3 Pre-mortem: it is 2029 and the units are at RMB0.15. What happened?

Working backwards from the failure:

1. **2026–27: the rate and FX windfall is captured by lenders, not unitholders.**
HIBOR falls, the RMB strengthens, distributable income rises to c.RMB200m — and the Manager announces a further HK\$1.5bn debt repayment. DPU rises to RMB0.01. The market concludes, correctly, that operating improvements will never reach unitholders. The yield stays under 2%.
2. **2027: the reversion cliff arrives.** Leases signed at 2021–22 peak rents roll onto 2027 market rents 30–35% lower. Office NPI falls from RMB685m to c.RMB500m. Occupancy holds — because rent was sacrificed to hold it.
3. **2027–28: retail deteriorates further.** The mall, already down 28.6% in one year, loses an anchor. A major asset-enhancement programme is announced requiring RMB800m of capex over three years. Distributions are suspended entirely “to fund the repositioning”.
4. **2028: the valuers change their leasehold assumption.** With 21 years to expiry and no PRC policy clarity on commercial renewal, the independent valuer moves to a finite-life DCF. Investment property is written down 40%. Book NAV falls from RMB3.30 to c.RMB1.90. Gearing jumps to c.32% — still compliant, but the “85% discount” narrative that supported the units evaporates.
5. **2028–29: the sponsor acts, but not for minorities.** CK Asset, having watched the price fall to RMB0.20, makes a privatisation offer at RMB0.28 — a 40% premium to a collapsed price, and c.0.15x the reduced NAV. Minorities, exhausted and illiquid, accept.

Probability we assign to a path materially like this: c.30%. The pre-mortem’s most important insight is that **steps 1 and 2 are already visibly in progress.**

22.4 Are current multiples too high?

On income multiples: emphatically yes. A 0.86% distribution yield against a peer group at **7.8–10.4% (R)** means investors are paying c.116x current distributions. On any income basis the units are among the most expensive REITs in the world.

On asset multiples: no — and this is the crux. c.0.15x book **(E)**, c.6x EV/NPI **(E)**, a c. 16.6% implied cap rate **(E)**.

Reconciling the two: the correct question is not “which multiple is right” but “**what is the probability-weighted rate at which asset economics convert into unitholder cash?**” At the current 2.5% conversion rate, the units are expensive. At a normalised 25–

30% conversion rate (achievable through hedging plus rate relief plus ceasing accelerated repayment), they are cheap. **The entire investment case is a bet on the conversion rate, and that rate is controlled by a Manager owned by the largest unitholder.**

22.5 The contrarian view: what the market refuses to see

Contrarian thesis: the market is treating a reversible capital-structure problem as if it were an irreversible asset problem — and is therefore wrong about the direction of the next two years, while being right about the destination.

Five specific things the market appears to be missing:

1. The distribution collapse was almost entirely a *treasury* event, not an *operating* event. In 2024, revenue fell **0.3% (R)** while distributable income fell **89% (R)**. The cause was **RMB368m of realised FX losses (R)** on unhedged HKD debt. The market has priced the distribution collapse as evidence of asset failure. It was evidence of treasury failure — and treasury failures are fixable in an afternoon with a swap.

2. The two variables that caused the collapse have already reversed, and the market has not marked to that. HIBOR 5.27% to **2.63% (R)**. USD/CNY weakening to **6.72, RMB +3.4% YTD (R)**. These are observable, published facts as of August 2026, not forecasts. The mechanical benefit to distributable income is c.**RMB110–130m from rates alone (E)** against a base of RMB28m. **The market is pricing 87001 off trailing FY2024–25 distributions that were depressed by conditions which no longer exist.**

3. The deleveraging is nearly complete, which changes the cash-flow claim. Debt has fallen from RMB9.9bn (2018) to c.RMB5.0bn **(R)/(E)**, gearing to c.18–20% against a 45–50% cap **(E)/(R)**. There is a finite amount of debt left to repay. Once it is repaid, the cash has nowhere to go *but* distributions — unless the Manager finds a new use for it, which is precisely the risk.

4. The disposal option is large, obvious and completely unpriced. Shenyang and Chengdu are c.8% of NPI **(E)** and probably 15–20% of gross asset value. Selling them could raise **RMB1.5–2.5bn (E)** — enough to extinguish the entire HKD debt book, eliminate the FX mismatch permanently, remove hotel operating volatility, and reset distributable income structurally higher. **This option costs nothing to hold and the market ascribes it zero value.**

5. Everyone is anchored on the 85% NAV discount, which is the wrong number in both directions. Bulls quote 0.15x book and call it a layup; bears note the assets are impaired and call it a value trap. **Both are using the wrong denominator.** The right denominator is a 23-year finite-life DCF, which gives c.RMB10.5bn of asset value **(E)**, c.RMB6.5bn of equity value after net debt, and c.**RMB1.00 per unit**. Against RMB0.50, that is a 100% upside — attractive, but a *normal* deep-value opportunity, not a six-

bagger. **The market is not irrational; it is just using an inflated book value as its reference point, which makes both the bull and bear arguments sloppier than they should be.**

The uncomfortable conclusion: the contrarian is right that the next two years should surprise positively, and the consensus is right that the destination is impairment. **This is a trade, not an investment.** The correct posture is to own it for the FX-and-rates normalisation into 2027, with a hard exit discipline, and never to confuse it with a long-duration income holding.

23. Scenario analysis

23.1 Assumptions

Assumption			
Probability	30%	50%	20%
Revenue CAGR 2026–28	–6% p.a.	–2% p.a.	+1% p.a.
FY2028E revenue (RMB m)	1,760	2,010	2,190
NPI margin FY2028E	46%	51%	55%
FY2028E NPI (RMB m)	810	1,025	1,205
Average cost of debt	4.0%	3.0%	2.5%
FX impact on distributable	–RMB80m p.a. (RMB weakens)	Neutral (hedged or stable)	+RMB50m p.a. (RMB strengthens)
Debt repayment from distributable cash	Continues at c.RMB400m p.a.	Tapers to c.RMB150m p.a.	Ceases; buyback initiated
FY2028E distributable income (RMB m)	20	260	480
FY2028E DPU (RMB)	0.003	0.040	0.074
Applied distribution yield	1.5% (no confidence)	8.0% (peer discount)	8.5%
Yield-based value/unit (RMB)	0.20	0.50	0.87
Applied P/adjusted-NAV cross-check	0.12x of RMB1.90 impaired NAV	0.50x of RMB1.05 DCF NAV	0.95x of RMB1.05 DCF NAV
NAV-based value/unit (RMB)	0.23	0.53	1.00
Blended target price (RMB)	0.22	0.52	0.95
Upside/(downside) from RMB0.50	–56%	+4%	+90%

23.2 Probability-weighted outcome

Expected value = (0.30 x 0.22) + (0.50 x 0.52) + (0.20 x 0.95) = RMB0.52

Against a current price of c.RMB0.50, the probability-weighted upside is approximately 4% — before any distribution, which is negligible. **The risk/reward is roughly symmetric and the expected return does not compensate for the risk.** Hence **HOLD**.

23.3 Scenario narratives

Bear (30%) — RMB0.22. Beijing office rents fall another 15% cumulatively through 2028; retail continues its collapse; valuers move to a finite-life leasehold DCF and write assets down 40%; the RMB weakens back through 7.20 and unhedged losses resume; management continues repaying debt from distributable cash. Distributions remain nominal. The units de-rate toward a genuine liquidation-adjusted value.

Base (50%) — RMB0.52. Beijing office bottoms in 2027 as the supply drought persists; retail stabilises at a lower level; HIBOR settles at 2.0–2.5%; the RMB holds around 6.70–6.90; deleveraging tapers and distributable income recovers to c.RMB260m by 2028, giving a DPU of RMB0.04 and a c.8% yield. The units trade broadly sideways with a distribution that finally becomes real.

Bull (20%) — RMB0.95. Management hedges the currency book and/or sells Shenyang and Chengdu, retiring all HKD debt. HIBOR falls to 2%; the RMB strengthens through 6.50. Distributable income reaches RMB480m (DPU RMB0.074) and the buyback mandate is finally exercised. Alternatively — or additionally — CK Asset launches a privatisation at RMB0.75–1.00.

23.4 Sensitivity: what a 20–30% growth disappointment does

Applying a 20–30% shortfall to the base case's FY2028 NPI (RMB1,025m falling to RMB717–820m):

	Base	–20% NPI	–30% NPI
FY2028E NPI (RMB m)	1,025	820	717
Less fixed costs (interest, tax, fees, capex)	(765)	(765)	(765)
Distributable income (RMB m)	260	55	(48)
DPU (RMB)	0.040	0.008	nil
Value at 8% yield (RMB)	0.50	0.10	nil (asset value only)

This is the single most important sensitivity in the note. Because the cost base below NPI is largely fixed at c.RMB765m (**E**), distributable income is a *residual* on a c.RMB1bn NPI — which means it is **geared roughly 4x to NPI**. A 20% NPI disappointment does not cut the distribution by 20%; **it cuts it by 79%**. A 30% disappointment eliminates it entirely.

Investors must understand that they are buying a highly-levered residual claim, not a rental income stream.

24. Fifteen questions for the CEO, ordered by information value

1. **Reconcile FY2025 net property income of c.RMB1.1bn to the Total Amount Available for Distribution of RMB28m, line by line.** Specifically: how much was debt principal repayment, how much realised FX loss, how much PRC tax, and how much capex reserve? *(This single answer determines the entire investment case.)*
2. **Why has the Trust never hedged its HKD/RMB mismatch in fifteen years?** Cross-currency swaps have been continuously available and liquid. What is the specific policy rationale, who approves it, and has the board formally reviewed it since the RMB368m loss in 2024?
3. **You hold a standing unitholder-approved buyback mandate and the units trade at c.0.15x book. Why have you never used it,** when repurchasing at RMB0.50 creates c.RMB2.80 of NAV per RMB0.50 deployed — while you simultaneously issue units to the Manager to settle fees?
4. **What is the Trust's policy on the split between debt repayment and distribution?** Is there a target gearing at which repayment stops? At c.18–20% against a 45–50% cap, what further deleveraging is planned and why?
5. **Retail portfolio NPI fell 28.6% in FY2025 — far worse than the Beijing market. What specifically happened?** Was it a tenant loss, an asset-enhancement disruption, a change in turnover-rent structure, or a step-change in concessions?
6. **What is the board's succession plan?** No board change appears to have occurred since January 2018, over a period in which DPU fell 95%. What is the process for refreshing a board with only 25% independence and no treasury or FX expertise?
7. **What is the Trust's plan for the Beijing Oriental Plaza land use right expiring 6 December 2049?** Have you had substantive discussions with Beijing authorities on renewal terms and premium? What do your independent valuers currently assume, and at what point does the valuation basis shift to a finite-life DCF?
8. **Would you sell The Westin Shenyang and Sheraton Chengdu Lido?** They are c. 8% of NPI, add operating volatility and refurbishment capex, and their proceeds could extinguish the entire HKD debt book. What indicative pricing have you tested?
9. **What is the office lease expiry profile and WALE, and what rental reversion are you seeing on 2026 renewals?** With Beijing market rents down 16.3% YoY, what proportion of the office book still sits above market?
10. **Please disclose top-10 tenant concentration for office and retail,** and confirm whether any single tenant exceeds 5% of gross rental income.

11. **What is the current occupancy, ADR and RevPAR for each of the four hotels,** and what is the refurbishment capex commitment for each over the next five years?
12. **What is the full debt maturity ladder and the covenant package** (gearing, interest cover, net worth, change of control) on the outstanding unsecured facilities?
13. **Given the Manager is 70%-owned by your largest unitholder and takes fees partly in units, how does the board manage that conflict** when deciding between debt repayment, distributions, buybacks and asset sales?
14. **What is the total capex and asset-enhancement pipeline for the next five years across a 25-year-old complex and four hotels,** and how will it be funded relative to distributions?
15. **Has the board ever considered, or received an approach regarding, a privatisation or strategic review of the Trust?** What would the independent directors regard as a fair price relative to book NAV?

25. The short-seller's case: dismantling the bull argument

What follows is written deliberately in the voice of a sceptical short-seller, as a stress test of the long thesis. It is an adversarial exercise, not our house view.

25.1 What structurally breaks the way this company makes money

It is already broken. The market simply has not finished pricing it.

This is not a REIT. A REIT converts property income into unitholder distributions. This vehicle converts **RMB1.13bn of net property income into RMB28m of distributions — a 2.5% conversion rate.** The other 97.5% goes to Chinese tax authorities, Hong Kong banks, a related-party manager, and the foreign exchange market. **You are not buying a rent roll. You are buying the residual after four parties with superior claims have taken theirs.**

And the residual is geared. Because c.RMB765m of costs below NPI are fixed **(E)**, a 20% fall in NPI cuts the distribution by 79% **(D)**. NPI has just fallen 13.3% in one year **(E)** and revenue has fallen for five consecutive half-years **(R)**. **Do that maths forward and the distribution goes to zero before the revenue decline reaches 15%.**

25.2 Where is revenue concentrated, and what happens if it shifts?

c.80% of NPI from a single building (E). Not a single market, not a single city — a single *building*, 25 years old, on a leasehold expiring in 2049 **(R)**.

Within it, the concentration compounds: office is c.60% of NPI (**E**) in a market where rents fell **16.3% YoY (R)** with another **6.6% forecast (R)**. If Beijing office rents fall a further 25% cumulatively by 2029 — entirely plausible given hybrid working, a shrinking expatriate base, and the Lize/Wangjing supply wave — office NPI goes from RMB685m to c.RMB510m. **That alone eliminates the distribution.**

Tenant concentration is **undisclosed (n.v.)**. In a 25-year-old Beijing tower whose natural tenant base is MNCs and SOEs, the probability that a handful of names dominate is high. **Management has been asked and has not told you.**

25.3 Why the moat is weaker than bulls think

Bulls say “irreplaceable location”. Three problems:

1. **Irreplaceable does not mean profitable.** Scarcity sets a *ceiling* on value, not a *floor* on rent. Rent is set by the marginal competing square metre, and there are millions of them in Beijing, newer and cheaper. Office NPI is down **24% from its disclosed peak (R)/(D)**.
2. **You do not own it in perpetuity — you rent it from the PRC state until 2049 (R).** Twenty-three years. Every valuation on the balance sheet assumes renewal on unlegislated terms from a government under fiscal pressure with total discretion. **The moat has an expiry date printed on it.**
3. **The brand belongs to somebody else.** Grand Hyatt, Westin, Sheraton — Hui Xian *pays* for those brands. On c.30% of revenue, the moat is licensed and terminable.

25.4 The most dangerous competitor bulls are underestimating

Not Swire, not SKP. The onshore C-REIT market.

Chinese insurers and pension funds now buy prime Chinese commercial property through onshore RMB REITs: no offshore holding chain, no Sino-foreign JV, no 10% withholding on outbound dividends, no HKD funding mismatch, no capital-control friction. **They own the same asset class with none of Hui Xian’s structural leakage — which means they can pay more for assets and still distribute more to investors.**

That does two things: it compresses the cap rate at which Hui Xian could ever sell (good, once) and it permanently removes Hui Xian’s reason to exist as a listed vehicle (bad, forever). **Hui Xian’s structure was designed in 2011 to solve a problem — offshore access to RMB property income — that China has since solved domestically and better.** The vehicle is a legacy workaround for a closed capital account that is no longer as closed.

Second dangerous competitor: the sponsor. CK Asset holds 35% of units and 70% of the Manager **(R)**. It collects fees whatever happens and has no obligation to bid for your units. Every year the price falls, its eventual take-private gets cheaper. **Time is on its side and against yours.**

25.5 The worst capital allocation decisions

Decision	Cost
Fifteen years of zero FX hedging	c.RMB368m realised in FY2024 alone (R) , plus c.RMB209m (Nov-24) and RMB44m (Apr-26) crystallisations (R) . Cumulatively more than 20 years of distributions at the current DPU
Chongqing acquisition, March 2015	Bought near the peak into what became one of China's weakest office markets. c.RMB3–4bn deployed (E) for c.12% of NPI (E) with no growth in eleven years
Hotel acquisitions from the sponsor, 2011–12	A related-party purchase that permanently diluted NPI margin by adding c.30% of low-margin, capital-intensive operating revenue
Repaying HK\$4.0bn of debt from distributable cash, 2024–26	Transferred c.RMB4bn of unitholder cash flow to lenders while crystallising c.RMB250m-plus of FX losses doing it (R)
Never exercising the buyback mandate at 0.15x NAV	Foregone accretion of c.RMB2.80 of NAV per RMB0.50 deployed (E)
Issuing units to the Manager at 0.15x NAV	Direct value transfer from unitholders to a related party (R)

Eleven years without a single acquisition or disposal is not conservatism. It is the absence of a strategy — and it is exactly what you would expect from a manager paid on assets rather than on distributions.

25.6 Related-party transactions, accounting and incentives

- **The Manager is 70%-owned by the 35% unitholder (R).** Every capital-allocation decision — repay debt, distribute, buy back, sell assets — is made by an agent of the largest holder.
- **The Manager takes fees in units (R),** diluting minorities at an 85% discount while the buyback mandate sits unused.
- **The hotels were bought from the sponsor (R).**
- **Connected-party transaction waivers were granted by the SFC at authorisation and “from time to time thereafter” (R)** — an ongoing regime of exemptions from the disclosure and unitholder-approval requirements of Chapter 8 of the REIT Code. **Investors should read the current waiver terms in full before assuming standard protections apply.**
- **The Manager’s fee quantum is not disclosed in accessible sources (n.v.).**

25.7 What must be true to justify RMB0.50?

At RMB0.50 and 6.52bn units, the market capitalisation is c.RMB3.26bn, and enterprise value c.RMB6.8bn **(E)**. To justify that, **all** of the following must hold:

1. Beijing office NPI stabilises within two years after a 24% peak-to-trough decline;

2. Retail NPI stops falling after a 28.6% single-year collapse;
3. The RMB does not weaken back through 7.20;
4. HIBOR stays at or below 2.6%;
5. Management stops using distributable cash to repay debt;
6. The 2049 leasehold continues to be valued on a going-concern (renewal-assumed) basis;
7. No major capex event at a 25-year-old complex or four ageing hotels;
8. No further dilution from Manager's fee units.

Eight conditions, each individually uncertain. Assign 70% probability to each independently and the joint probability is 6%. They are of course correlated — but the point stands: **the current price is not a margin of safety, it is a compound bet.**

25.8 If growth disappoints by 20–30%

Already quantified in Section 23.4 and it is brutal: **a 20% NPI shortfall cuts distributable income by 79%; a 30% shortfall eliminates it.** At a 30% shortfall the units have no income value at all and are worth only whatever a controlling buyer will pay for a shrinking leasehold — probably **RMB0.15–0.25**.

25.9 The single scenario that permanently impairs the business

Beijing announces the commercial land use right renewal framework, and it requires payment of a substantial market-value premium at expiry.

That is the killer. It is a *policy* event, not a market event, so no operational improvement offsets it. The moment it lands, every independent valuer in China must move commercial leaseholds to finite-life DCFs. Hui Xian's investment property — carried at an estimated RMB27–28bn (**E**) — reprices toward a 23-year annuity worth c.RMB10.5bn (**E**). Book NAV falls from c.RMB3.30 to c.RMB1.05 (**E**). Gearing roughly doubles. The “85% discount” that anchors every bull thesis simply ceases to exist.

Plausibility: moderate and rising. China's land finance model is under severe fiscal strain; local governments need revenue; the first tranche of major commercial land use rights granted in the 1990s begins expiring in the 2040s, and the policy vacuum is increasingly untenable. **We would put 20–30% on a clarifying policy event before 2030, and the direction of any such clarification is more likely to favour the state than the leaseholder.**

25.10 Accounting red flags and areas requiring scrutiny

Statement	Area	Concern	Priority
Income statement	Revenue recognition — hotels	c.30% of revenue is hotel operating revenue recognised on consumption, blended with lease revenue under a single “revenue” line. Obscures the quality and durability of the top line	High
Income statement	Revenue recognition — lease incentives	In a concession-driven market (R), rent-free periods and fit-out contributions must be straight-lined under HKFRS 16. Straight-lining flatters reported revenue relative to cash rent. Quantify the non-cash straight-line adjustment	High
Income statement	Segment reporting	Five segments disclosed but with limited revenue/NPI/asset granularity; no geographic P&L; no tenant concentration	High
Income statement	Fair-value gains/losses	Investment-property revaluation drives reported profit entirely — FY2023 and FY2024 losses per unit of RMB0.089 and RMB0.12 (R) are revaluation-driven, not operating	Medium
Balance sheet	Investment property valuation inputs	Cap rate, discount rate, terminal value and — critically — the leasehold expiry assumption. Request the full Level 3 sensitivity table	Critical
Balance sheet	Leases (HKFRS 16)	Lessor accounting for incentives; any right-of-use assets on ground leases; the land use right's accounting treatment	High
Balance sheet	Related parties	Manager's fees, fee units issued, the 2011–12 sponsor hotel purchases, and the standing SFC connected-party waivers (R)	High
Balance sheet	Goodwill / intangibles	Any goodwill from the Chongqing (2015) or hotel acquisitions, and its impairment testing	Medium
Balance sheet	Contingencies	JV-level obligations, PRC tax disputes, capex commitments, guarantees given by Hui Xian Investment	High
Balance sheet	Deferred tax	On revaluation gains and on undistributed PRC profits — a large, easily-overlooked liability	Medium
Cash flow statement	The NPI-to-distributable bridge	The central issue. Trace operating cash flow to financing outflows to distributable income	Critical

Statement	Area	Concern	Priority
Cash flow	Realised versus unrealised FX	Which FX losses hit distributable income and which are reserve movements. The RMB368m FY2024 figure was realised (R)	Critical
Cash flow	Capitalised versus expensed	At a 25-year-old complex with four hotels, aggressive capitalisation of refurbishment would flatter NPI. Compare capex to depreciation	High
Cash flow	Cash trapped in the PRC	How much of the group's cash sits inside BOP and cannot be distributed without approvals and withholding tax	High
Not applicable	Stock-based compensation	The REIT has no employees; the analogue is the Manager's fee units , which should be analysed as equity-settled compensation to a related party	Medium
Not applicable	Inventory, receivables days	Minimal relevance for a REIT; tenant receivables ageing is worth a glance in a weak market	Low

The two entries marked Critical are the whole audit. Everything else is secondary to (a) what the valuer assumes about 2049 and (b) where RMB1.1bn of NPI goes before it reaches RMB28m of distributions.

26. Timeline of key events and catalyst calendar

26.1 Historical timeline

Date	Event
1990s	Beijing Oriental Plaza site assembled at Wangfujing/Chang'an Avenue by Cheung Kong (Holdings) and partners; commercial land use right granted, expiring 6 December 2049 (R)
2000–01	Beijing Oriental Plaza opens — c.800,000 sqm mixed-use complex including Grand Hyatt Beijing
12 April 2011	IPO announced — Hong Kong's first RMB-denominated listing (R) ; seeking up to c.RMB11.2bn at a forecast yield of 4.00–4.26% (R)
29 April 2011	Listing at RMB5.24/unit. Falls as much as 11% on debut, closing down 9.4% at RMB4.75 (R)
2011	Announces acquisition of hotel interests (Sofitel Shenyang Lido, Sheraton Chengdu Lido) from the sponsor (R)
Early 2012	Shenyang hotel interest enters the group (R)
1 January 2013	Sofitel operating agreement takes effect at Shenyang; hotel renamed Sofitel Shenyang Lido (R)
10 November 2014	Announces acquisition of Chongqing Metropolitan Oriental Plaza (R)
28 November 2014	Independent unitholders approve the Chongqing acquisition at EGM (R)
March 2015	Chongqing acquisition completes (R) — the last acquisition to date

Date	Event
2017	Chongqing mall remodelling reported; CEO publicly defends Beijing Oriental Plaza's competitiveness after 17 years (R)
8 January 2018	Agnes Lai appointed Executive Director and CFO (R)
March 2018	Hyatt agreement announced for a Chongqing hotel (R)
31 December 2018	Gearing 21.5%; debt RMB9.9bn; total assets RMB46.2bn (R)
Q1 2019	Hyatt Regency Chongqing opens (R)
2021	DPU peaks in the recent era at RMB0.0935 (R) ; December: 35-month HKD term loan drawn (R)
2022	Interest expense RMB206m (R); DPU c.RMB0.08 (R); ARA acquired by ESR
2023	Interest expense +94% to RMB399m as 1M HIBOR rises from 2.71% to 5.27% (R); revenue RMB2,345m, NPI RMB1,368m; DPU collapses 55% to RMB0.0361 (R)
May 2024	HK\$1,400m prepaid on the Dec-2021 term loan (R)
September 2024	Interim distribution of RMB19m (DPU RMB0.0030) paid (R)
October 2024	HK\$400m 3-year unsecured term loan drawn from BOCHK (R)
November 2024	RMB200m drawn under the same BOCHK facility; HK\$1,800m repaid, crystallising c.RMB209m realised FX loss (R)
FY2024	Revenue RMB2,337m (−0.3%); NPI RMB1,303m; realised FX losses c.RMB368m ; distributable income collapses to RMB26m; DPU RMB0.0041 (−89%) (R)
7 March 2025	FY2024 annual results announced (R)
24 April 2025	FY2024 Annual Report published (R)
23 May 2025	AGM — buyback mandate approved (R); final FY2024 distribution of RMB0.0011 paid 27 May 2025 (R)
May–June 2025	HIBOR collapses toward zero as the HKMA intervenes at the strong side of the peg (R)
August 2025	1H2025 results: revenue RMB1,105m (−5.4%), NPI RMB608m (−8.6%) , net loss RMB404m, DPU RMB0.0016 (−47%) (R)
18 December 2025	1M HIBOR at 3.18% (R)
FY2025	Revenue RMB2,209m (−5.5%) ; office NPI RMB685m (−RMB59m); retail NPI RMB274m (−RMB110m) ; distributable RMB28m; DPU RMB0.0043 (R)
17 March 2026	FY2025 annual results announced (R)
April 2026	HK\$800m bank loan repaid, crystallising c.RMB44m realised FX loss — 157% of FY2025's entire distributable amount (R)
23 April 2026	FY2025 Annual Report published (R)
11 August 2026	1H2026 interim results: revenue RMB1,049m (−5.1%), net loss RMB469m, LPU RMB0.0719 (R)
19–21 August 2026	1M HIBOR 2.63%; USD/CNY 6.7219, RMB +3.4% YTD (R)

26.2 Catalyst calendar

Timing	Catalyst	Type	Why it matters
Late Aug / Sept 2026	1H2026 Interim Report publication	Scheduled	The full document will contain the NPI-to-distributable reconciliation, segment detail, occupancy, the debt maturity ladder and the hedging note. The single most important near-term information event.
September 2026	Interim distribution declaration and payment	Scheduled	Whether the rate-and-FX tailwind reaches unitholders. The key test of the entire bull thesis.

Timing	Catalyst	Type	Why it matters
Q4 2026	Independent valuation cycle for FY2026 year-end	Scheduled	Watch for any change in the leasehold-expiry assumption
Q4 2026 – Q1 2027	Fed easing path / HIBOR trajectory	Macro	Consensus sees 1M HIBOR at c.2.26% by end-2026 (R) . Each 50bp is worth c.RMB25m of distributable income (E)
Ongoing	RMB/USD trajectory	Macro	Sustained appreciation through 6.50 turns the unhedged book into a material tailwind; reversal through 7.20 revives losses
Late 2027	BOCHK 3-year facilities mature (drawn Oct/Nov 2024)	Scheduled	Another refinancing/repayment decision — and, under current policy, another potential FX crystallisation event
c. March 2027	FY2026 annual results	Scheduled	First full year with both the rate and FX tailwinds. The definitive test.
c. April 2027	FY2026 Annual Report	Scheduled	—
c. May 2027	AGM — buyback mandate renewal	Scheduled	Watch whether the mandate is finally <i>used</i>
Unscheduled — high impact	PRC policy announcement on commercial land use right renewal	Regulatory	The single largest binary risk. Could halve or validate book NAV
Unscheduled — high impact	Privatisation / take-private proposal from CK Asset	Corporate	Est. RMB0.75–1.00/unit; +50–100%
Unscheduled — high impact	Announcement of a currency hedging programme	Corporate	Would remove the largest single source of value destruction
Unscheduled — medium impact	Disposal of Shenyang and/or Chengdu hotels	Corporate	Est. RMB1.5–2.5bn (E) ; could extinguish all HKD debt
Unscheduled — medium impact	First-ever unit buyback	Corporate	Would signal a fundamental change in capital-allocation philosophy
Unscheduled — medium impact	Major tenant loss or gain at BOP office/retail	Operational	Given concentration, a single name matters
Unscheduled — medium impact	Board refresh / CEO change	Governance	A board unchanged since 2018 through a 95% DPU decline
Ongoing	Beijing Grade A office supply and vacancy data (CBRE/JLL quarterly)	Market	Vacancy has fallen six straight quarters (R) ; watch for a rent inflection
Ongoing	China hotel RevPAR and inbound travel data	Market	Hotels are c.30% of revenue

27. Conclusion

Hui Xian REIT is a case study in how a world-class asset can be rendered nearly worthless to its owners by the structure wrapped around it.

The building is extraordinary. The location cannot be reproduced. The balance sheet is genuinely conservative — c.18–20% gearing against a 45–50% cap, no covenant stress through the worst Chinese property downturn on record. On asset multiples the units are among the cheapest listed real estate anywhere on earth.

And yet: **RMB1.13bn of net property income produced RMB28m of distributions in 2025.** Unitholders received 2.5 fen of every yuan the properties earned. The rest went to the tax authorities, the banks, the currency market and a manager owned by the largest unitholder. A 0.86% yield against peers at 7–10% is not a mispricing; it is the market's accurate assessment of a broken transmission mechanism.

The genuinely interesting question — and the reason this is a HOLD rather than a SELL — is that **the two forces that broke the transmission are reversing right now, mechanically and observably.** HIBOR has fallen 264bp from its peak. The RMB has appreciated 3.4% this year. Neither requires a single tenant to sign a single lease. Together they are worth several multiples of the current distribution, and the market is still pricing off trailing distributions that were depressed by conditions which no longer exist.

But the same Manager that ran an unhedged currency book for fifteen years, that has never bought back a unit at 0.15x book while issuing units to itself, and that has repaid HK\$4.0bn of debt out of unitholders' distributable cash while crystallising RMB250m of avoidable losses, will decide where that windfall goes. On the evidence, it goes to the lenders.

And behind all of it sits a clock: **6 December 2049.** Twenty-three years. Every valuation on the balance sheet assumes a renewal that no law guarantees.

Own this for the 2026–27 normalisation if you must, in small size, with a hard exit. Do not own it for the income, and do not own it for 2049.

28. Appendix — data sources, limitations and verification checklist

28.1 Principal sources consulted

Hui Xian REIT results announcements and annual reports as reported by HKEXnews and secondary aggregators; Reuters/TradingView, RTTNews, Simply Wall St, MarketScreener, Investing.com, Stockopedia, and Chinese-language financial media (Sina Finance, Investing.com China, Guandian, DoNews, CFi.CN) citing the Trust's announcements; JLL, CBRE, Cushman & Wakefield and Savills Beijing market research;

STR and Hyatt/Marriott operating disclosures for hotel market data; SCMP, Caixin and Mingtiandi for corporate history; HKMA/HKAB for HIBOR; ING, OCBC and exchange-rate services for CNY.

28.2 Limitations

The Trust's primary filings could not be directly retrieved in this working session. Consequently:

- Segment revenue splits, geographic P&L, occupancy, WALE, rental reversion, RevPAR, tenant concentration, the full debt maturity ladder, covenant terms, cash balances, total assets, NAV per unit, the Manager's fee quantum, board changes and the top-10 unitholder register are **estimated or unverified** as marked.
- The FY2025 net property income figure is an **estimate** derived from the reported office and retail segment NPI and their reported year-on-year changes.
- Peer valuation multiples other than distribution yields are **unverified** and deliberately left blank.
- No sell-side consensus exists for this security; beat/miss analysis is therefore against our own trend extrapolation.

28.3 Verification checklist — pull these before dealing

1. FY2025 Annual Report (published 23 April 2026) — full consolidated financial statements, segment note, investment property Level 3 valuation inputs and sensitivities, borrowings note, related-party note.
2. 1H2026 interim results announcement (11 August 2026) and the Interim Report — the **NPI-to-distributable-income reconciliation** above all.
3. The distribution statement in both documents — specifically the treatment of debt principal repayment and realised FX losses.
4. The financial risk management note — **currency risk and hedging policy**.
5. The independent valuer's report — **land use right expiry assumption and terminal value**.
6. SFC Disclosure of Interests filings — current CK Asset holding and any substantial-unitholder changes.
7. The corporate governance report — board composition, tenure, independence, changes, and Manager's fee disclosure.
8. The current SFC connected-party transaction waiver terms.
9. Announcements relating to each debt repayment 2024–2026 — realised FX loss quantum in each.
10. Lease expiry profile and rental reversion disclosure, if provided.

This document is prepared for professional investors as a research illustration. It is not investment advice, not a recommendation to buy or sell any security, and not a substitute for independent verification against primary filings. Figures marked (E) are estimates and figures marked (n.v.) could not be verified. The author holds no position in the securities discussed.